PARIKSHA365 — STUDY NOTES

Economics — Common Book

SSC, RRB, Banks (GA + Banking), State PSC — Indian Economy + Banking Awareness

SSC RRB BANKS STATE PSC

v 2026-04

The promise. Read this book end-to-end (with the usual two re-reads + active recall on the embedded prompts) and you will be able to attempt every quiz question in the Pariksha365 pool for this subject with a strong fundamental grasp.

Examiner's Blueprint — What Economics Questions Are Really About

EXAM ALERT

Economics in competitive exams is almost never conceptual — it is factual.

Examiners test specific years, numbers, chairpersons, institutional details. Here is what they repeatedly test:

- **1. Five-Year Plans** — Mahalanobis model in which plan? Which was the last? When did NITI Aayog replace the Planning Commission?
- **2. RBI facts** — founding year, nationalisation year, first Indian governor, current repo rate.
- **3. Finance Commissions** — which FC gave states 42%? Who chairs the 16th FC?
- **4. GST** — launch date, number of slabs, constitutional amendment number, what's outside GST.
- **5. Bank nationalisation** — how many banks in 1969? How many in 1980?
- **6. Key schemes** — PM-KISAN, PMJDY, Ayushman Bharat: year launched and what they do.
- **7. Economic indices** — India's HDI rank, GII rank, forex reserves rank.

Do NOT spend time on theory. Know these specific numbers and dates.

Current rates and numbers (June 2026 — verified and up to date):

Item	Value
Repo Rate	5.25% (neutral stance, Apr 2026)
CRR	3.00%
SLR	18.00%
Reverse Repo	3.35%
MSF / Bank Rate	5.50%
RBI Governor	Sanjay Malhotra (26th, since Dec 2024)
GDP World Rank (nominal)	6th (~$4.15T)
Forex Reserves	~$680–700 billion range (4th or 5th largest globally; re-check before exam)
Finance Commission (current)	16th — Chair Arvind Panagariya (2026–31)
Maharatna CPSEs	14 (HAL added Oct 2024 as 14th)
HDI Rank	130/193 (UNDP 2025 report; value 0.685)

How to read this book — your real study load

Total pages: 29. Don't let the page count scare you.

Mandatory reading — pages 1 to 22 (76% of the book)

That's the full syllabus. Master those 22 pages and you've covered every concept an examiner can fairly ask.

Bonus material — pages 23 to 29 (24% of the book)

Reference tables, compilations, and self-test material — useful in your last week of revision OR if you're aiming for a top rank.

Two study tracks

- **Just want to pass?** Read pages 1–22. Skim the appendices once before the exam.
- **Want to top your batch?** Read the appendices too — they're how 70% becomes 90%.

Index — Table of Contents (clickable)

PART A — BASICS

Chapter 1 — Economic Systems and Sectors

What is economics?

- The study of how societies allocate **scarce resources** for **unlimited wants**.

- **Lionel Robbins (1932)** — "the science which studies human behaviour as a relationship between ends and scarce means which have alternative uses."

Three fundamental questions every economy must answer:

1. **What** to produce?
2. **How** to produce?
3. **For whom** to produce?

Economic Systems

System	Decision-maker	Examples	Key feature
Market / Capitalist	Private individuals + market	USA, UK	Efficient; innovation; inequality
Command / Socialist	State central planning	Former USSR, North Korea	Equality; public goods; inefficient
Mixed	State + market together	**India**, France	Balance of both; complex

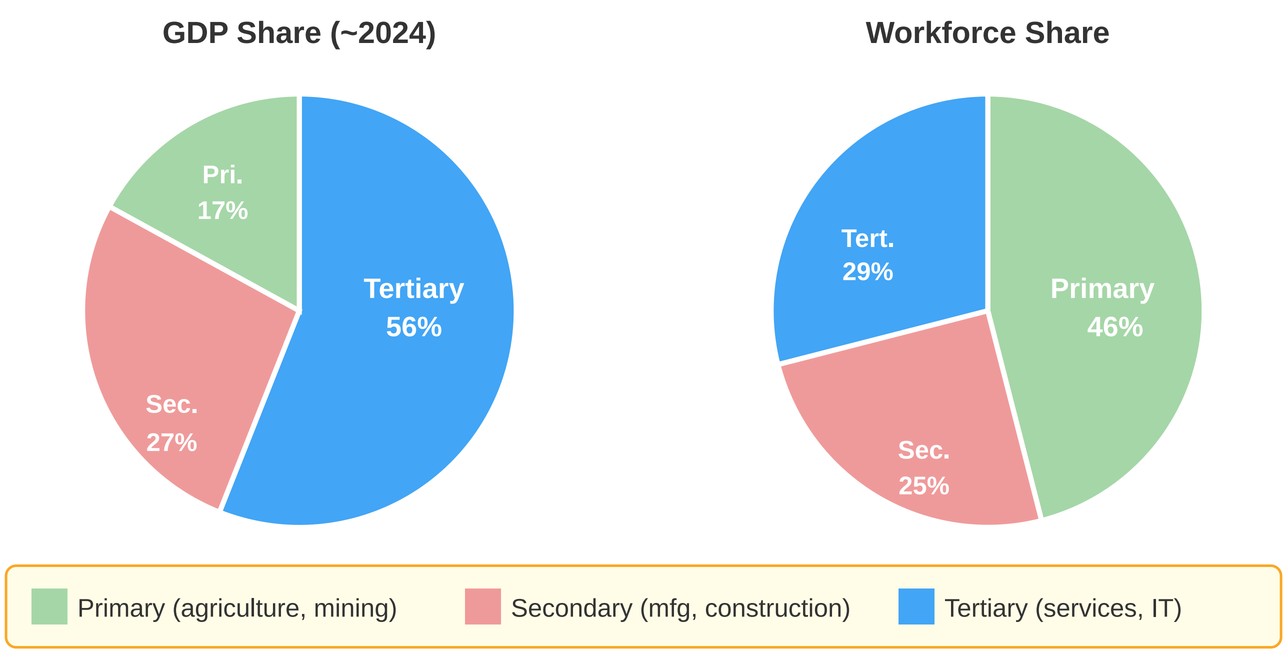
India is a mixed economy:

- Post-**1991 LPG reforms** increased the market share.
- The state remains crucial in **infrastructure, social welfare, defence**.

Three Sectors by Nature of Activity

- **Primary** — agriculture, fishing, mining, forestry (extraction from nature).
- **Secondary** — manufacturing, industry, construction.
- **Tertiary** — services: IT, banking, health, education, transport, trade.

India — 3-Sector Economy (GDP vs Workforce)



The productivity gap (very high-yield exam fact):

- Primary sector employs **~46% of the workforce**.
- But it produces only **~17% of GDP**.
- Services produce **~56% of GDP** with just **~29% of workers**.

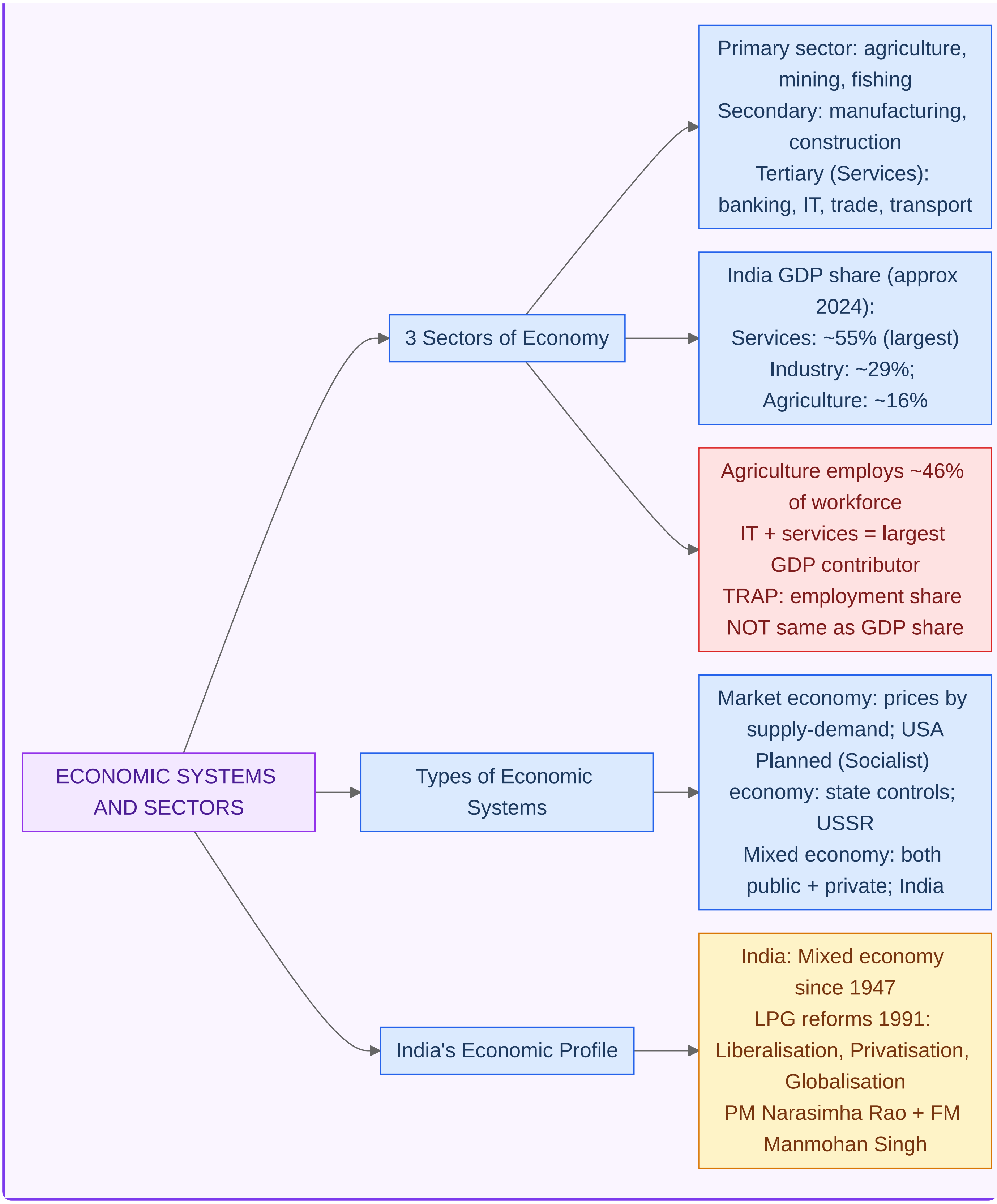
- This gap = India's **disguised unemployment** problem.

KEY FACT

The informal (unorganised) sector employs about **85% of India's workforce** but has no regular contracts or social security. The formal (organised) sector employs only 15%. This huge informality is a defining feature of India's economy.

PART B — NATIONAL INCOME

◎ CHAPTER SUMMARY — EVERYTHING IN ONE VIEW



Chapter 2 — GDP, GNP, and National Income

The founders of national-income accounting:

- **Simon Kuznets** (Nobel 1971) — built the modern framework in the **1930s**.
- **V.K.R.V. Rao** — produced India's first national-income estimate in **1931** (for 1925–29).
- **National Income Committee** under **P.C. Mahalanobis (1949)** set up India's official system.

The Key Concepts

KEY FACT

GDP → National Income chain (exam shortcut): GDP **+** NFIA = **GNP** GNP **−** Depreciation = **NNP at market price** NNP at market price **−** Indirect Taxes **+** Subsidies = **NNP at factor cost = National Income** National Income ÷ Population = **Per Capita Income** Remember the direction: **GDP → GNP → NNP → NI → PCI** (each step subtracts something or adjusts).

- **GDP** — value of all final goods and services produced **within a country's borders** in a year.
- **GNP = GDP + NFIA** (Net Factor Income from Abroad) — income earned by a country's citizens anywhere in the world.
- **NDP = GDP − Depreciation** (wear and tear of capital).
- **NNP = GNP − Depreciation.**
- **National Income = NNP at factor cost** = NNP at market prices minus indirect taxes plus subsidies.
- **Per capita income** = National Income / Population.

EXAM ALERT

⚠️ **TRAP — GDP includes foreigners working in India; GNP excludes them.** A Japanese engineer working at a factory in Chennai contributes to India's **GDP** (produced within India's borders) but NOT India's GNP (she's not an Indian national). An Indian software engineer working in the USA contributes to India's **GNP** (Indian national) but NOT India's GDP (not within India's borders).

QUICK RECALL

The "House" Analogy (GDP vs GNP): Think of **GDP** as the total value of all chores done *inside your house*, even if a visiting neighbor did some of them. It's about **LOCATION** (India's borders). Think of **GNP** as the total value of chores done *by your family members*, whether they did them inside your house or at a neighbor's house. It's about **CITIZENSHIP** (Indians anywhere in the world).

REMEMBER

GDP → add NFIA → **GNP**. Both GDP and GNP → subtract Depreciation → NDP and NNP. NNP at factor cost = **National Income**. The chain: **GDP → GNP → NNP → NI → PCI**.

Real vs Nominal

- **Nominal GDP** — at current prices; includes inflation effects.
- **Real GDP** — at base-year prices; shows genuine growth.
- **GDP Deflator** = (Nominal GDP / Real GDP) × 100. Measures economy-wide price level.

Current GDP base year = 2022–23 (released by MoSPI in February 2026; replaced the old 2011–12 base).

Three Methods of Measuring GDP

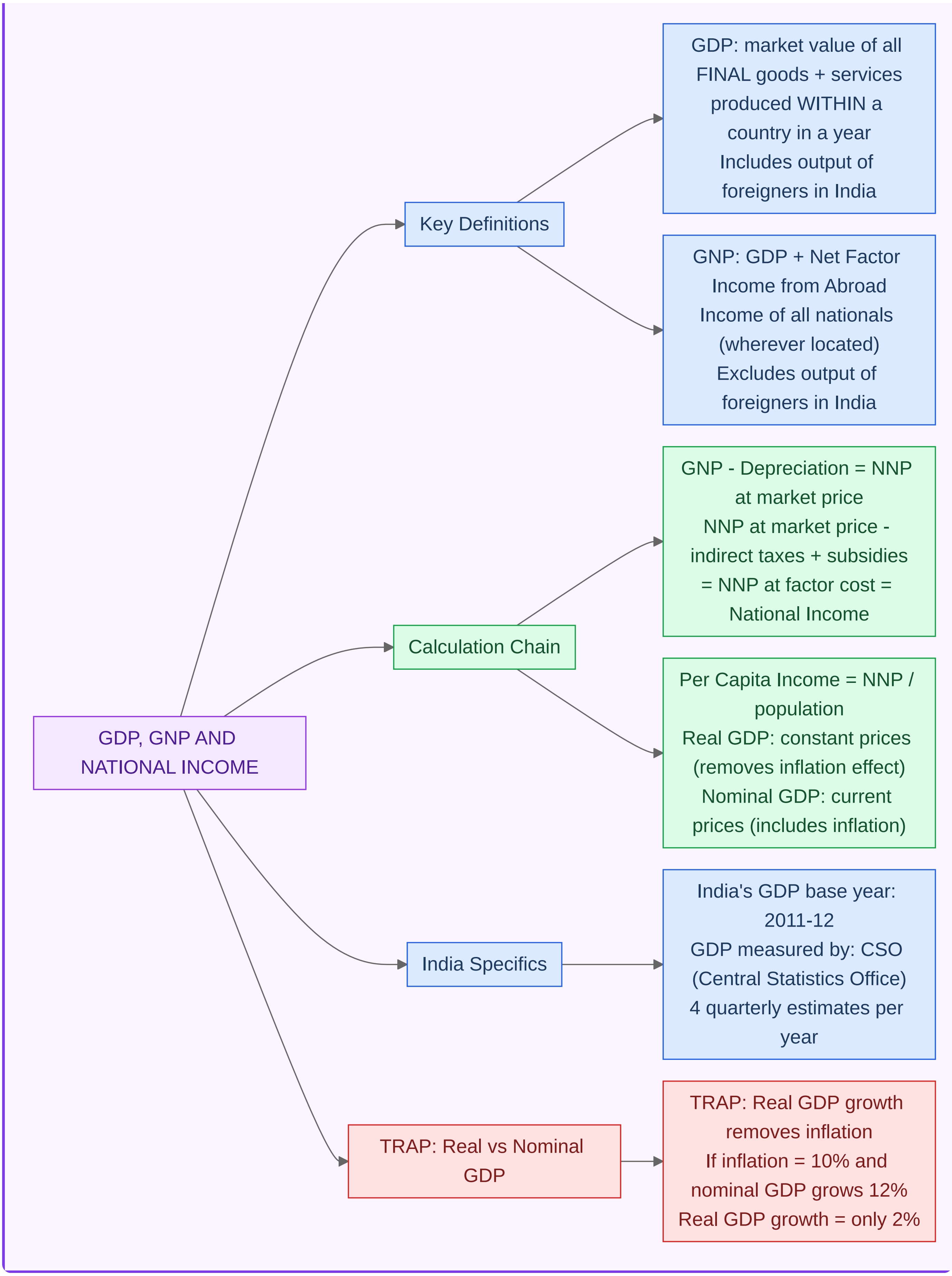
1. **Production / Value-Added method** — sum of Gross Value Added across all sectors.
2. **Income method** — wages + rent + interest + profits.
3. **Expenditure method** — **GDP = C + I + G + (X − M)**: Consumption + Investment + Government spending + Net Exports.

EXAM ALERT

India's GDP by PPP (Purchasing Power Parity) makes it the **3rd largest economy in the world** (after China and USA) since 2014. But by nominal GDP, India is **6th** (as of April 2026). Examiners ask both separately. PPP = 3rd; Nominal = 6th.

PART C — MONEY AND BANKING

◎ CHAPTER SUMMARY — EVERYTHING IN ONE VIEW


GDP, GNP AND NATIONAL INCOME
Key Definitions
GDP: market value of all FINAL goods + services produced WITHIN a country in a year
Includes output of foreigners in India
GNP: GDP + Net Factor Income from Abroad
Income of all nationals (wherever located)
Excludes output of foreigners in India
Calculation Chain
GNP - Depreciation = NNP at market price
NNP at market price - indirect taxes + subsidies = NNP at factor cost = National Income
Per Capita Income = NNP / population
Real GDP: constant prices (removes inflation effect)
Nominal GDP: current prices (includes inflation)
India Specifics
India's GDP base year: 2011-12
GDP measured by: CSO (Central Statistics Office)
4 quarterly estimates per year
TRAP: Real vs Nominal GDP
TRAP: Real GDP growth removes inflation
If inflation = 10% and nominal GDP grows 12%
Real GDP growth = only 2%

Chapter 3 — The Reserve Bank of India (RBI)

Founded: 1 April 1935 under the RBI Act, 1934, based on recommendations of the **Hilton Young Commission (1926)**. **Nationalised:** 1 January 1949. **HQ:** Mumbai (originally Calcutta; moved to Mumbai in 1937).

First Governor: Sir Osborne Smith (Australian, 1935–37). **First Indian Governor:** C.D. Deshmukh (1943–49). **Current Governor:** Sanjay Malhotra (December 2024 onwards, 26th Governor).

Note: The ₹1 note is issued by the **Ministry of Finance** (not RBI). Every other denomination is issued by RBI.

RBI's Monetary Policy Tools

KEY FACT

Quick recall — RBI rates in ascending order (Apr 2026): Reverse Repo (3.35%) < CRR (3.00% of deposits) < SLR (18%) < Repo (5.25%) < MSF/Bank Rate (5.50%) Rate memory: **"RBI Repo is always HIGHER than Reverse Repo."** Repo = RBI lends to banks (higher charge). Reverse Repo = RBI borrows from banks (lower reward).

Quantitative tools (control money supply):

Tool	Definition	Current Value (Apr 2026)
Repo rate	Rate at which RBI lends to banks against G-Secs (benchmark rate)	5.25%
Reverse Repo	Rate RBI pays banks for overnight deposits	3.35%
MSF (Marginal Standing Facility)	Emergency overnight window at Repo + 0.25%	5.50%
Bank Rate	Long-term lending rate (mostly signalling)	5.50%
CRR (Cash Reserve Ratio)	% of NDTL banks must keep with RBI as cash (earns no interest)	3.00%
SLR (Statutory Liquidity Ratio)	% banks must keep in G-Secs, gold, or cash (earns interest)	18.00%
OMO (Open Market Operations)	RBI buys/sells G-Secs to inject/drain liquidity	—

KEY FACT

The difference between CRR and SLR: **CRR = kept with RBI as cash, no interest earned. SLR = kept in government securities at the bank itself, earns interest.** Both reduce the money available for lending when raised.

EXAM ALERT

⚠️ **TRAP — SLR vs CRR: what they hold and where. SLR (Statutory Liquidity Ratio):** % of NDTL banks must hold in **approved securities** (government bonds, gold, cash in hand). Held **at the bank itself**; earns interest. Current SLR = **18%. CRR (Cash Reserve Ratio):** % of NDTL banks must keep as **cash with RBI** (earns NO interest). Current CRR = **3.00%** (Apr 2026). Quick memory: **SLR = Securities (gold/bonds, at the bank). CRR = Cash (at RBI).** Don't swap — this is the single most-tested CRR/SLR distinction across SSC, IBPS and RRB.

EXAM ALERT

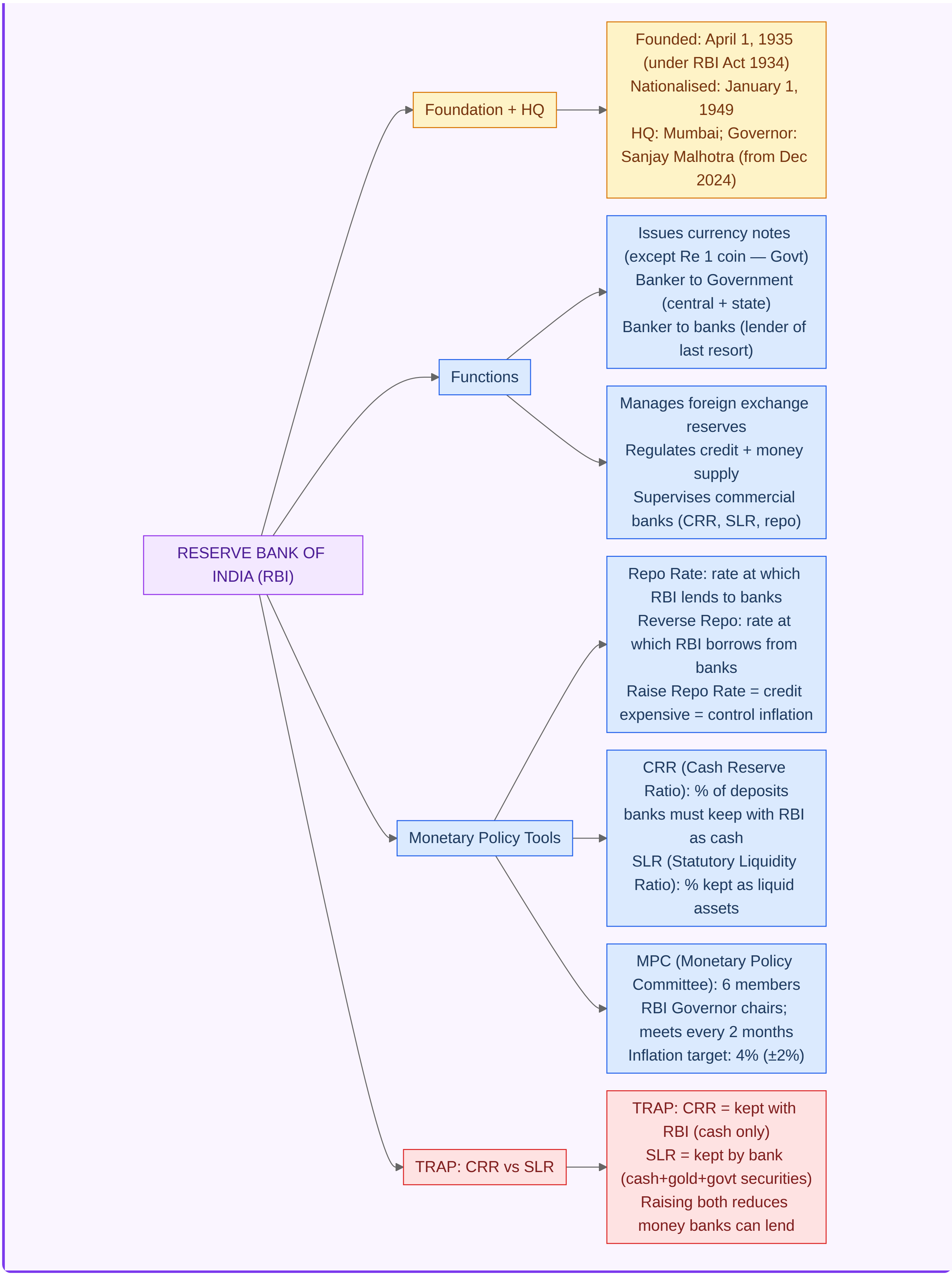
⚠️ **TRAP — Repo Rate vs Reverse Repo Rate — candidates flip these every exam. Repo** = RBI **Re-**purchases G-Secs from banks = RBI gives cash TO banks = lending rate. Banks pay this to borrow. **Reverse Repo** = opposite — RBI absorbs liquidity from banks = RBI pays banks to park money overnight.

Simple rule: **Repo is always HIGHER** (lender charges more than borrower earns). If Repo = 5.25%, Reverse Repo ≈ 3.35% — a ~1.9% gap.

Monetary Policy Committee (MPC)

- Established by the **2016 Amendment to the RBI Act**.
- **6 members**: 3 from RBI (Governor chairs + casting vote; Dy Governor; one RBI officer) + 3 external members appointed by the Central Government.
- **Meets bi-monthly** (6 times a year).
- **Mandate**: Keep CPI inflation at **4% ± 2%** (i.e., 2–6% band) for 5-year blocks.

◎ CHAPTER SUMMARY — EVERYTHING IN ONE VIEW


RESERVE BANK OF INDIA (RBI)
Foundation + HQ
Founded: April 1, 1935 (under RBI Act 1934)
Nationalised: January 1, 1949
HQ: Mumbai; Governor: Sanjay Malhotra (from Dec 2024)
Functions
Issues currency notes (except Re 1 coin — Govt)
Banker to Government (central + state)
Banker to banks (lender of last resort)
Manages foreign exchange reserves
Regulates credit + money supply
Supervises commercial banks (CRR, SLR, repo)
Monetary Policy Tools
Repo Rate: rate at which RBI lends to banks
Reverse Repo: rate at which RBI borrows from banks
Raise Repo Rate = credit expensive = control inflation
CRR (Cash Reserve Ratio): % of deposits banks must keep with RBI as cash
SLR (Statutory Liquidity Ratio): % kept as liquid assets
MPC (Monetary Policy Committee): 6 members
RBI Governor chairs; meets every 2 months
Inflation target: 4% (±2%)
TRAP: CRR vs SLR
TRAP: CRR = kept with RBI (cash only)
SLR = kept by bank (cash+gold+govt securities)
Raising both reduces money banks can lend

Chapter 4 — Banking in India

Historical Milestones

- **First bank in India**: Bank of Hindustan, Calcutta, 1770 (failed 1832).
- **First Indian-owned bank still operating**: Punjab National Bank, 1894 (founded by Lala Lajpat Rai + Dyal Singh Majithia).
- **SBI**: Formed 1 July 1955 from Imperial Bank of India (itself created 1921 by merging three Presidency banks — Bengal, Bombay, Madras).

Bank Nationalisation

- **19 July 1969** — Indira Gandhi nationalised **14 banks** with deposits over ₹50 crore.
- **1980** — 6 more banks nationalised (deposits over ₹200 crore).

REMEMBER

Banks nationalised: **14 in 1969, 6 in 1980**. Remember: "**14 + 6 = 20**" banks were nationalised in total in two waves. **Memory hook: "69→14" and "80→6"** — note the second wave in 1980 had stricter criteria (₹200 crore vs ₹50 crore) so fewer banks qualified.

EXAM ALERT

⚠️ **TRAP — Don't confuse bank nationalisation years with RBI nationalisation.** RBI nationalised = **1 January 1949** (just after independence). Commercial banks first wave = **19 July 1969** (exactly 20 years later). Second wave = **1980**. Examiners sometimes ask "when were banks nationalised?" expecting 1969, not 1949.

PSB Mergers (2017–2020)

Reduced public sector banks from 27 to **12**: - SBI absorbed 5 associates + Bharatiya Mahila Bank (2017). - BoB + Vijaya + Dena Bank (April 2019). - Four mega-mergers effective April 2020: PNB+OBC+UBI; Canara+Syndicate; Union+Andhra+Corporation; Indian+Allahabad.

UPI — Digital Payments Revolution

- **UPI (Unified Payments Interface)** — launched **11 April 2016** by Governor Raghuram Rajan.
- Operated by **NPCI (National Payments Corporation of India, est. 2008)**.
- Handles **16+ billion transactions per month** (~50% of global real-time digital payments).
- Top apps: PhonePe, Google Pay, BHIM, Paytm.

Payment Systems

KEY FACT

Quick recall — Payment systems by minimum amount + speed: - **RTGS** = Real Time, minimum ₹2 lakh (large value, same-day settlement) — launched 2004. - **NEFT** = No minimum amount, batched settlement (any amount, slower) — launched 2005. - **IMPS** = Instant, mobile, up to ₹5 lakh — launched 2010. - **UPI** = Unified, instant, P2P + P2M — launched 2016 (NPCI). India's most used. Shortcut: **"RTGS = Rich people; NEFT = Normal people; IMPS = Instant mobile; UPI = Universal"**

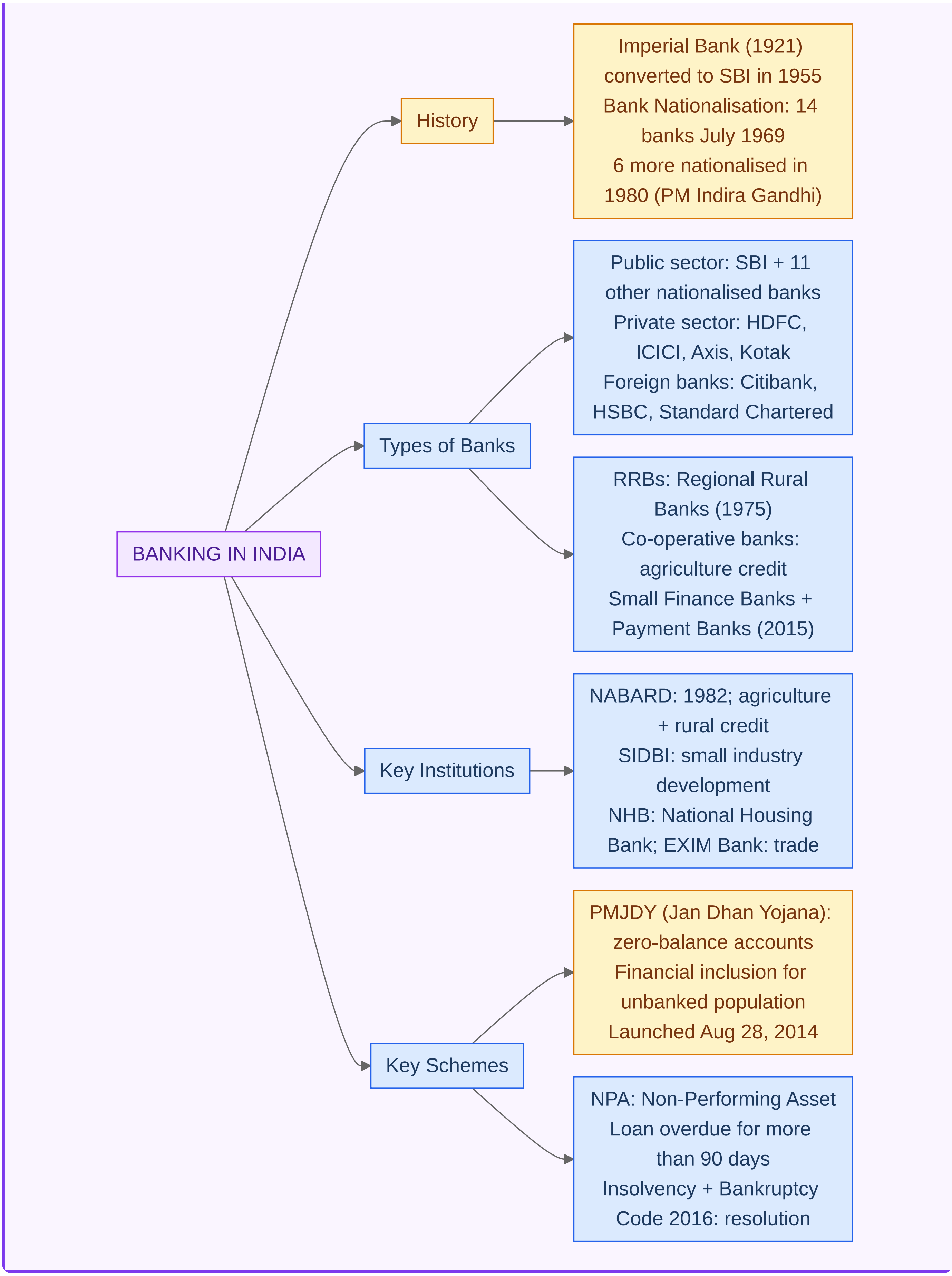
System	Year	Settlement	Key use
RTGS	2004	Real-time (24×7 since 2020)	≥ ₹2 lakh transfers

System	Year	Settlement	Key use
NEFT	2005	Batched (24×7 since 2019)	Any amount
IMPS	2010	24×7 immediate	Up to ₹5 lakh mobile
UPI	2016	24×7 instant	P2P and P2M
RuPay	2012	—	Domestic card network
FASTag	2017	—	RFID-based toll payment
e-RUPI	2021	Voucher	Single-use prepaid benefit delivery
CBDC (Digital Rupee)	Nov 2022 (pilot)	—	Wholesale + retail

EXAM ALERT

⚠️ **TRAP — RTGS has a MINIMUM amount (₹2 lakh); NEFT has NO minimum.** Candidates often say "NEFT is for large amounts." Wrong. RTGS is for large amounts (≥ ₹2 lakh). NEFT works for any amount, any direction. Also: UPI was launched on **11 April 2016**, not 2015 — the year 2015 is when the framework was finalised but launch was 2016.

◎ CHAPTER SUMMARY — EVERYTHING IN ONE VIEW


BANKING IN INDIA
History
Imperial Bank (1921) converted to SBI in 1955
Bank Nationalisation: 14 banks July 1969
6 more nationalised in 1980 (PM Indira Gandhi)
Types of Banks
Public sector: SBI + 11 other nationalised banks
Private sector: HDFC, ICICI, Axis, Kotak
Foreign banks: Citibank, HSBC, Standard Chartered
RRBs: Regional Rural Banks (1975)
Co-operative banks: agriculture credit
Small Finance Banks + Payment Banks (2015)
Key Institutions
NABARD: 1982; agriculture + rural credit
SIDBI: small industry development
NHB: National Housing Bank; EXIM Bank: trade
Key Schemes
PMJDY (Jan Dhan Yojana): zero-balance accounts
Financial inclusion for unbanked population
Launched Aug 28, 2014
NPA: Non-Performing Asset
Loan overdue for more than 90 days
Insolvency + Bankruptcy Code 2016: resolution

Chapter 5 — Inflation

Types of Inflation

QUICK RECALL

The easy way to remember the two main types: 1. **Demand-pull (Too much money chasing too few goods):** Imagine 10 people fighting to buy the last 2 iPhones in a store. Because everyone wants them (high demand), the seller raises the price. 2. **Cost-push (The ingredients got expensive):** The iPhone factory has to pay double for microchips and shipping. To protect their profits, they are *pushed* to raise the price tag for the customer.

- **Demand-pull** — excess demand over supply (too much money chasing few goods; e.g., lower interest rates → people borrow & spend more).
- **Cost-push** — rising production costs pushed onto consumers (oil price spike → everything gets costlier; leads to **stagflation** if growth also slows).
- **Built-in / Wage-price spiral** — workers demand higher wages because prices are rising → firms raise prices to cover costs → workers demand still-higher wages → cycle continues. The inflation is "built in" to expectations.
- **Structural** — supply bottlenecks and rigidities (e.g., bad roads causing tomatoes to rot before reaching the market).
- **Imported** — weaker rupee makes imports more expensive.
- **Hyperinflation** — exceeds 50% per month (Weimar Germany 1923, Zimbabwe 2008).
- **Stagflation** — high inflation + high unemployment + slow/stagnant growth together (USA 1970s oil crisis; rare but devastating).
- **Deflation** — **negative** inflation (prices are actually **falling**); dangerous because people defer spending expecting further price drops, crushing demand.
- **Disinflation** — inflation rate is **slowing** but still **positive** (e.g., inflation drops from 8% to 5%); do not confuse with deflation.

Inflation Indices

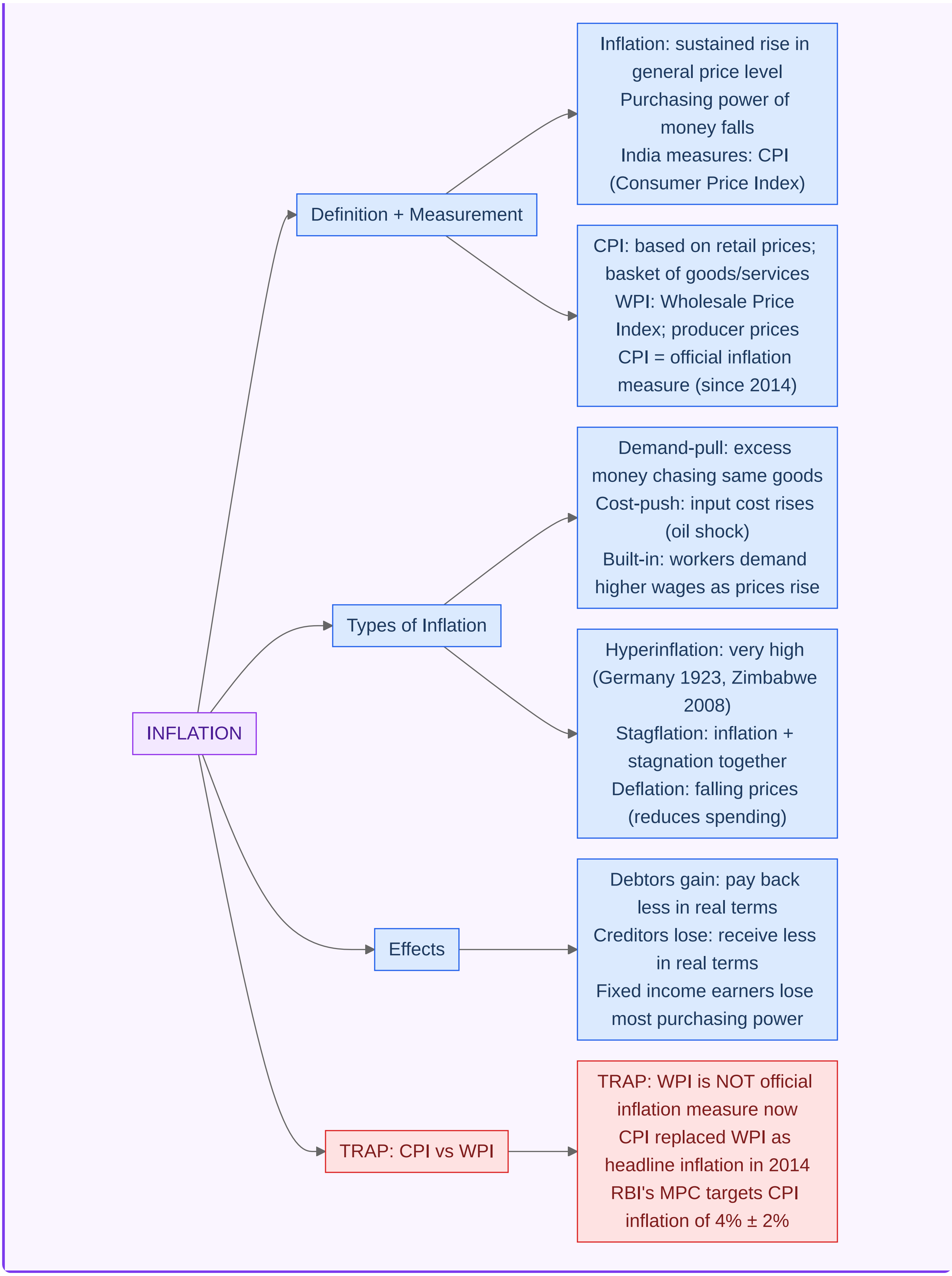
- **CPI (Consumer Price Index)** — retail prices; covers food (45.86% weight), fuel, housing, etc. Published by NSO. **RBI targets CPI** (not WPI) since 2016. Base year: 2024 (new series released February 2026).
- **WPI (Wholesale Price Index)** — wholesale prices; no services. Published by DPIIT. Base year: 2011–12.
- **CPI-IW** (Industrial Workers) — used for calculating Dearness Allowance (DA) for govt employees.

EXAM ALERT

RBI targets **CPI inflation** at 4% ± 2% (the 2–6% band). RBI does NOT target WPI. This distinction is tested frequently. Headline inflation = overall CPI. Core inflation = CPI excluding food and fuel.

PART D — FISCAL POLICY

◎ CHAPTER SUMMARY — EVERYTHING IN ONE VIEW


INFLATION
Definition + Measurement
Inflation: sustained rise in general price level
Purchasing power of money falls
India measures: CPI (Consumer Price Index)
CPI: based on retail prices; basket of goods/services
WPI: Wholesale Price Index; producer prices
CPI = official inflation measure (since 2014)
Types of Inflation
Demand-pull: excess money chasing same goods
Cost-push: input cost rises (oil shock)
Built-in: workers demand higher wages as prices rise
Hyperinflation: very high (Germany 1923, Zimbabwe 2008)
Stagflation: inflation + stagnation together
Deflation: falling prices (reduces spending)
Effects
Debtors gain: pay back less in real terms
Creditors lose: receive less in real terms
Fixed income earners lose most purchasing power
TRAP: CPI vs WPI
TRAP: WPI is NOT official inflation measure now
CPI replaced WPI as headline inflation in 2014
RBI's MPC targets CPI inflation of 4% ± 2%

Chapter 6 — Union Budget

The Union Budget is presented by the Finance Minister in the Lok Sabha under **Article 112** (Annual Financial Statement) of the Constitution.

Since **2017**, the Budget is presented on **1 February** every year (previously on the last day of February). The Railway Budget was merged with the Union Budget in 2017.

The Three Government Funds

1. **Consolidated Fund of India** (Article 266(1)) — all government revenues and borrowings. Parliament must approve all spending from this fund.
2. **Contingency Fund** (Article 267) — ₹30,000 crore; for unforeseen emergencies; at the President's disposal without prior Parliament approval.
3. **Public Account** (Article 266(2)) — provident funds, savings; government acts as banker.

Types of Deficits

- **Revenue Deficit** = Revenue Expenditure − Revenue Receipts. Negative savings.
- **Fiscal Deficit** = Total Expenditure − (Revenue Receipts + Non-debt Capital Receipts). The key indicator of government borrowing.
- **Primary Deficit** = Fiscal Deficit − Interest Payments. Shows deficit excluding interest burden.
- **Effective Revenue Deficit** = Revenue Deficit − Grants for capital assets.

FRBM Act (2003) — Fiscal Responsibility and Budget Management Act. Target: Fiscal Deficit ≤ 3% of GDP. India has consistently missed this target.

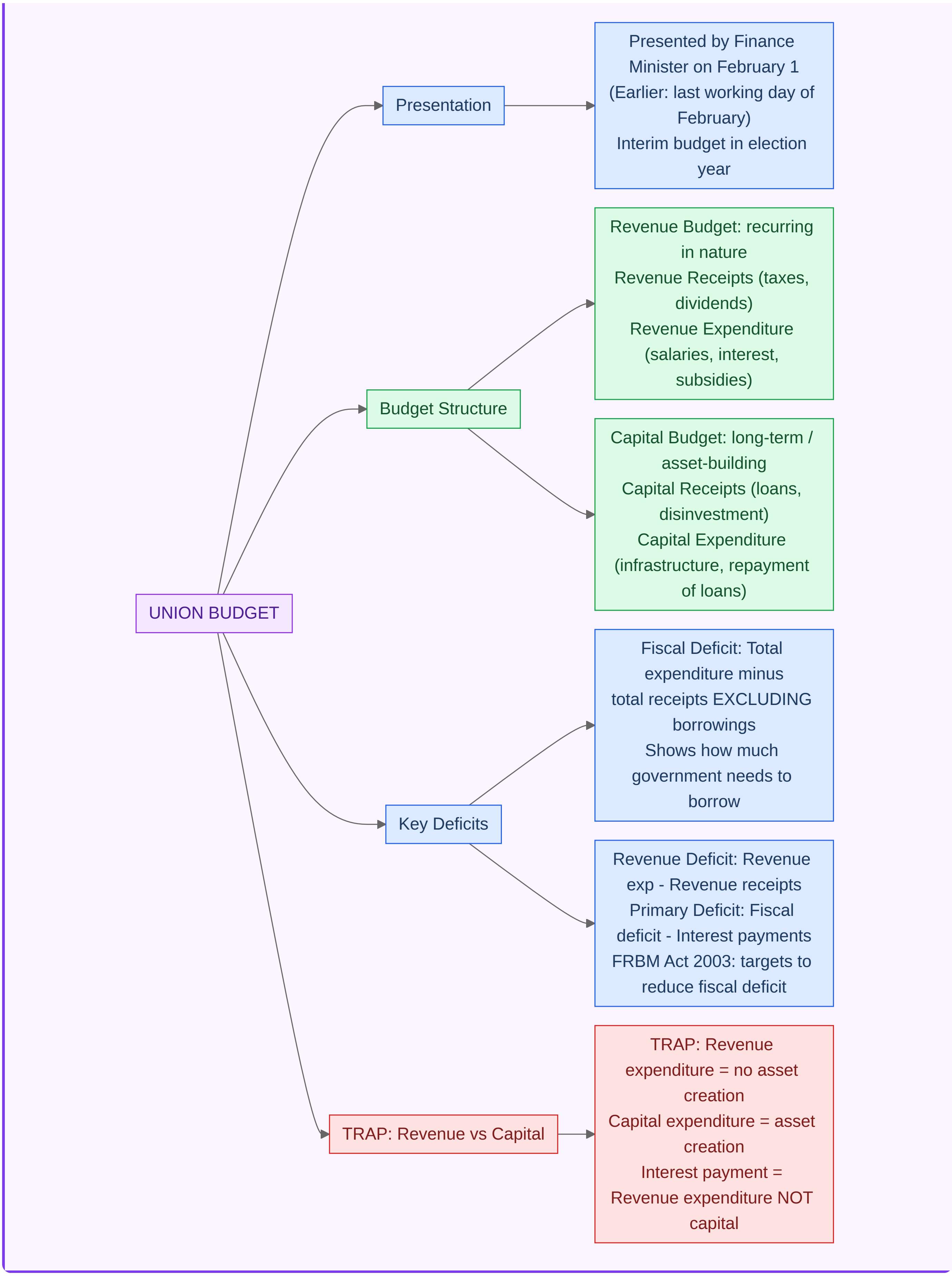
KEY FACT

Deficit types — quick memory chain: Revenue Deficit = Revenue Exp − Revenue Receipts (everyday overspending). Fiscal Deficit = Total Exp − Total Receipts (excl. borrowings) → **how much govt must borrow**. Primary Deficit = Fiscal Deficit − Interest Payments → shows deficit without interest burden. Rule: **Primary < Fiscal < Revenue + Capital combined**. Primary deficit shows whether current government is adding new debt beyond inherited interest costs.

EXAM ALERT

⚠️ **TRAP — Interest payments are REVENUE expenditure, NOT capital.** Many students classify interest on debt as capital expenditure because it relates to loans. Wrong. Interest payments are recurring, create no asset, and appear under Revenue Expenditure. This matters for the Revenue Deficit calculation — interest is counted there.

◎ CHAPTER SUMMARY — EVERYTHING IN ONE VIEW



Chapter 7 — GST

GST launched: 1 July 2017 via the **101st Constitutional Amendment, 2016**. Slogan: "One Nation, One Tax."

- **CGST** — Central GST (Centre's share).
- **SGST** — State GST (state's share; UTGST in Union Territories with legislature).
- **IGST** — Integrated GST (inter-state transactions + imports; collected by Centre, given to destination state).
- **Principle: Destination-based** — taxed where consumed, not where produced.

KEY FACT

GST slabs quick recall — "Zero-Five-Twelve-Eighteen-TwentyEight": - **0%** — Essential goods (fresh vegetables, milk, salt, books, newspapers). - **5%** — Basic necessities (packaged food, coal, medicines, transport). - **12%** — Standard goods (processed food, computers). - **18%** — Most services + electronics + capital goods. - **28%** — Luxury + sin goods (AC, premium cars, tobacco, aerated drinks). - **Special: Gold = 3%; Rough diamonds = 0.25%.**

GST Rate Slabs: 0%, 5%, 12%, 18%, 28% + compensation cess on luxury and sin goods. - Gold: 3%. Rough diamonds: 0.25%. - **Outside GST**: Petroleum (petrol, diesel, ATF, crude oil, natural gas), alcohol, electricity duty, stamp duty.

EXAM ALERT

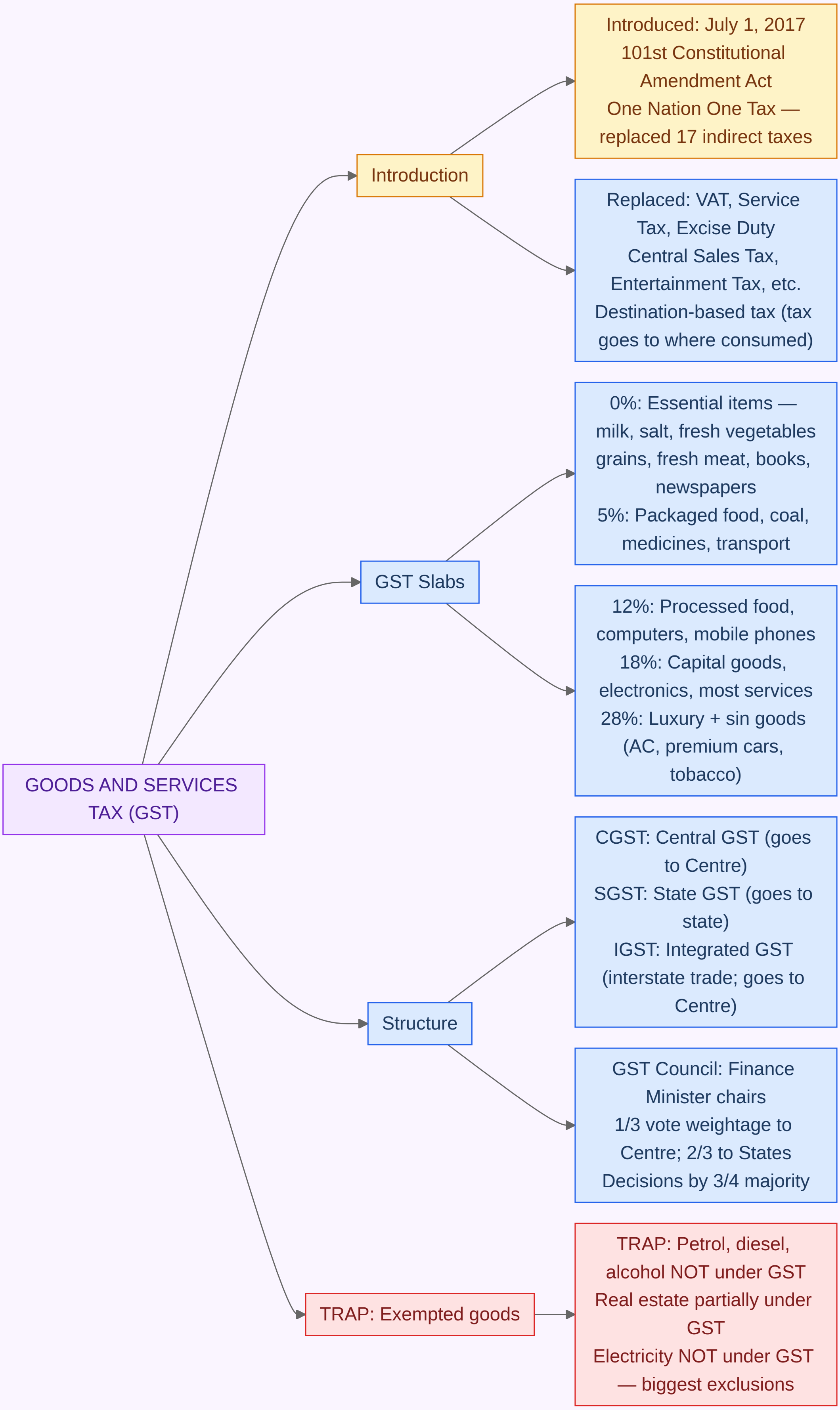
⚠️ **TRAP — "Outside GST" list is longer than students think.** The 5 petroleum products (petrol, diesel, ATF, crude oil, natural gas) + alcohol for human consumption + electricity duty + stamp duty — all remain outside GST. A common wrong option in MCQs is to include electricity or alcohol inside GST. They are NOT under GST as of 2026.

GST Council — under Article 279A; chaired by the Union Finance Minister; all state Finance Ministers + 2 Union Ministers. Decisions require 3/4 majority (Centre has 1/3 weight, states have 2/3 weight combined).

KEY FACT

Petroleum and alcohol are the biggest revenues kept outside GST — states collect their own taxes on these. This is why petrol prices vary across states. These items generate the most state VAT revenue, so states were unwilling to bring them under GST.

◎ CHAPTER SUMMARY — EVERYTHING IN ONE VIEW


GOODS AND SERVICES TAX (GST)
Introduction
Introduced: July 1, 2017
101st Constitutional Amendment Act
One Nation One Tax — replaced 17 indirect taxes
Replaced: VAT, Service Tax, Excise Duty
Central Sales Tax, Entertainment Tax, etc.
Destination-based tax (tax goes to where consumed)
GST Slabs
0%: Essential items — milk, salt, fresh vegetables grains, fresh meat, books, newspapers
5%: Packaged food, coal, medicines, transport
12%: Processed food, computers, mobile phones
18%: Capital goods, electronics, most services
28%: Luxury + sin goods (AC, premium cars, tobacco)
Structure
CGST: Central GST (goes to Centre)
SGST: State GST (goes to state)
IGST: Integrated GST (interstate trade; goes to Centre)
GST Council: Finance Minister chairs
1/3 vote weightage to Centre; 2/3 to States
Decisions by 3/4 majority
TRAP: Exempted goods
TRAP: Petrol, diesel, alcohol NOT under GST
Real estate partially under GST
Electricity NOT under GST — biggest exclusions

Chapter 8 — Finance Commissions

Article 280 of the Constitution mandates setting up a Finance Commission every **5 years**. It recommends: (i) devolution of central taxes to states (vertical and horizontal), (ii) grants-in-aid, (iii) measures for local bodies.

FC	Chair	Period	State Devolution
12th	C. Rangarajan	2005–10	30.5%
13th	Vijay Kelkar	2010–15	32%
14th	**Y.V. Reddy**	**2015–20**	**42%** (historic jump from 32%)
15th	**N.K. Singh**	**2020–26**	**41%**
16th	**Arvind Panagariya**	**2026–31**	TBD

KEY FACT

Exam shortcut — Finance Commission devolution trend: "32 → 42 → 41" 13th FC: 32% → 14th FC: **42%** (biggest-ever jump, Y.V. Reddy) → 15th FC: **41%** (1% cut because J&K became a UT, reducing its share from the states' pool). The 14th FC jump from 32% → 42% = **+10 percentage points** — the largest single increase in India's history of fiscal federalism.

EXAM ALERT

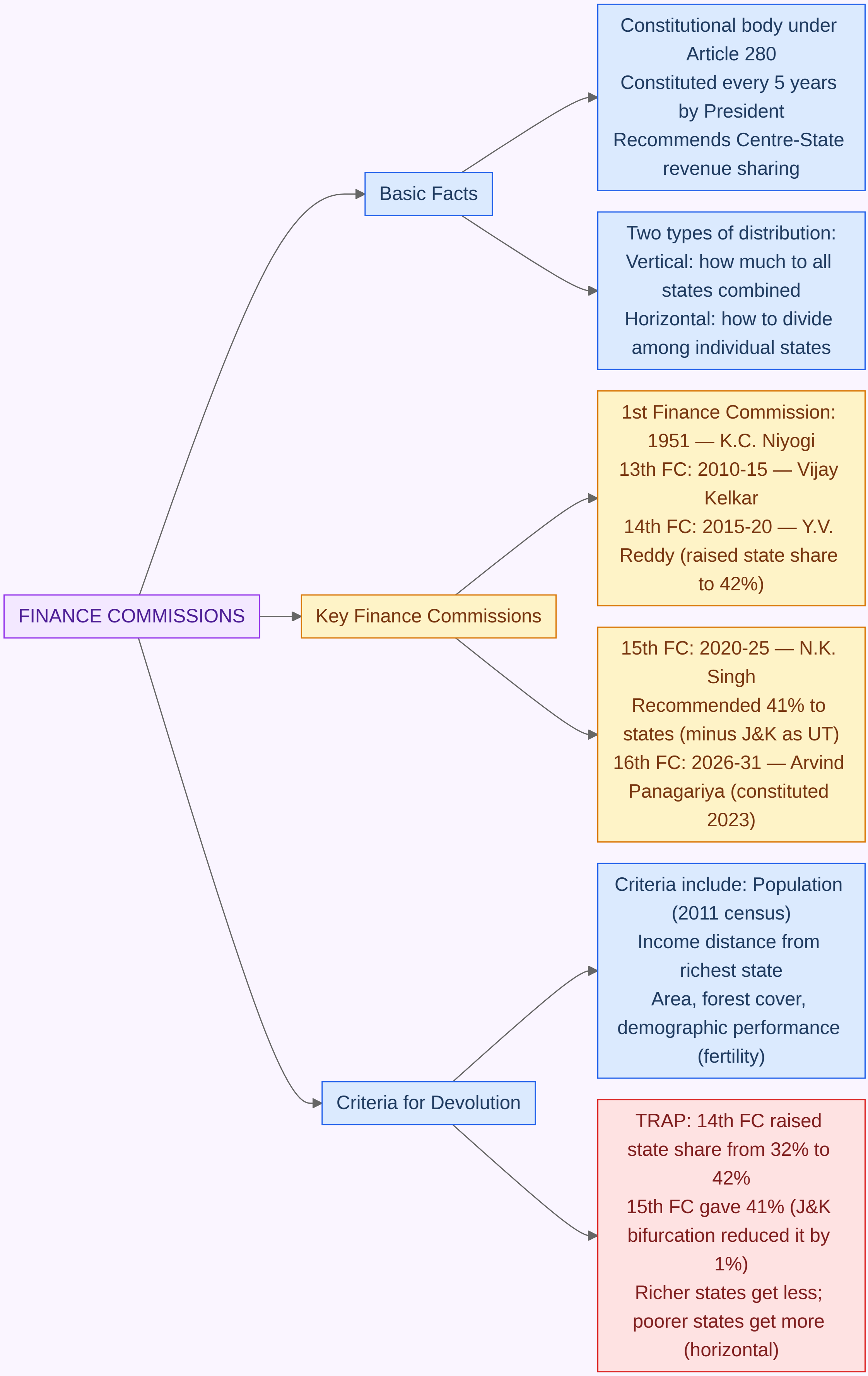
⚠️ **TRAP — Finance Commission is under Article 280, NOT Article 360.** Article 360 = Financial Emergency. Candidates mix these up. Finance Commission = Article **280**; set up every **5 years**; recommends Centre → States tax devolution. It is a constitutional body (unlike NITI Aayog which is not).

EXAM ALERT

The 14th Finance Commission under Y.V. Reddy is historically significant for jumping states' share from 32% to **42%** — the largest ever increase in one step. This was a key step in India's cooperative federalism agenda. The 15th FC reduced it slightly to 41% because J&K became a UT.

PART E — PLANNING AND DEVELOPMENT

◎ CHAPTER SUMMARY — EVERYTHING IN ONE VIEW


FINANCE COMMISSIONS
Basic Facts
Constitutional body under Article 280
Constituted every 5 years by President
Recommends Centre-State revenue sharing
Two types of distribution:
Vertical: how much to all states combined
Horizontal: how to divide among individual states
Key Finance Commissions
1st Finance Commission: 1951 — K.C. Niyogi
13th FC: 2010-15 — Vijay Kelkar
14th FC: 2015-20 — Y.V. Reddy (raised state share to 42%)
15th FC: 2020-25 — N.K. Singh
Recommended 41% to states (minus J&K as UT)
16th FC: 2026-31 — Arvind Panagariya (constituted 2023)
Criteria for Devolution
Criteria include: Population (2011 census)
Income distance from richest state
Area, forest cover, demographic performance (fertility)
TRAP: 14th FC raised state share from 32% to 42%
15th FC gave 41% (J&K bifurcation reduced it by 1%)
Richer states get less; poorer states get more (horizontal)

Chapter 9 — Five-Year Plans and NITI Aayog

The Planning Commission was set up on **15 March 1950** by Cabinet Resolution. It was chaired by the Prime Minister but was **not** a constitutional or statutory body. It was abolished and replaced by NITI Aayog from **1 January 2015**.

The 12 Five-Year Plans

KEY FACT

Quick recall — 5 most-asked Five-Year Plan facts: 1. **1st Plan** = Harrod-Domar model → agriculture (dams: Bhakra-Nangal, Hirakud). 2. **2nd Plan** = Mahalanobis → heavy industry (steel plants: Bhilai/Soviet, Rourkela/German, Durgapur/British). 3. **3rd Plan** = Failed (China war 1962 + Pakistan war 1965) → Plan Holiday 1966–69. 4. **5th Plan** = Terminated early by Janata govt (1978) — only plan cut short. 5. **12th Plan (2012–17)** = LAST Five-Year Plan ever. No 13th plan was made.

Plan	Period	Key Model / Focus	Notable Events
1st	1951–56	Harrod-Domar; agriculture	Bhakra-Nangal, Hirakud dams
2nd	**1956–61**	**Mahalanobis; heavy industry**	**Bhilai, Rourkela, Durgapur steel plants**
3rd	1961–66	Self-sufficient	Failed — China war (1962), Pakistan war (1965)
Plan Holiday	1966–69	Annual plans	Green Revolution began
4th	1969–74	Garibi Hatao	Bank nationalisation 1969
5th	1974–79	Poverty alleviation	Terminated early by Janata government
6th	1980–85	Modernisation	—
7th	1985–90	Productivity + technology	Rajiv Gandhi era
Annual	1990–92	Instability	1991 BoP crisis and LPG reforms
8th	1992–97	Human resource development	LPG reforms implemented; 6.8% growth
9th	1997–2002	Growth with social justice	—
10th	2002–07	Double per capita income	7.6% growth
11th	2007–12	Inclusive growth	8.0% growth (best average)
12th	**2012–17**	**Faster, sustainable, inclusive**	**Last Five-Year Plan**

EXAM ALERT

⚠️ **TRAP — Mahalanobis model is 2nd Plan, NOT 1st or 3rd.** The 1st Plan used Harrod-Domar (savings/investment ratio theory) and focused on agriculture + dams. The Mahalanobis model (Soviet-style big push for heavy industry) came in the 2nd Plan. Examiners routinely place Mahalanobis in options for the 1st Plan to catch students off guard.

REMEMBER

2nd Plan = Mahalanobis model = Heavy industry — the "Big Push" theory. India invested heavily in steel plants at Bhilai (Soviet help), Rourkela (German help), and Durgapur (British help). The emphasis on heavy industry over consumption set India's economic trajectory for decades.

NITI Aayog (1 January 2015)

NITI = National Institution for Transforming India

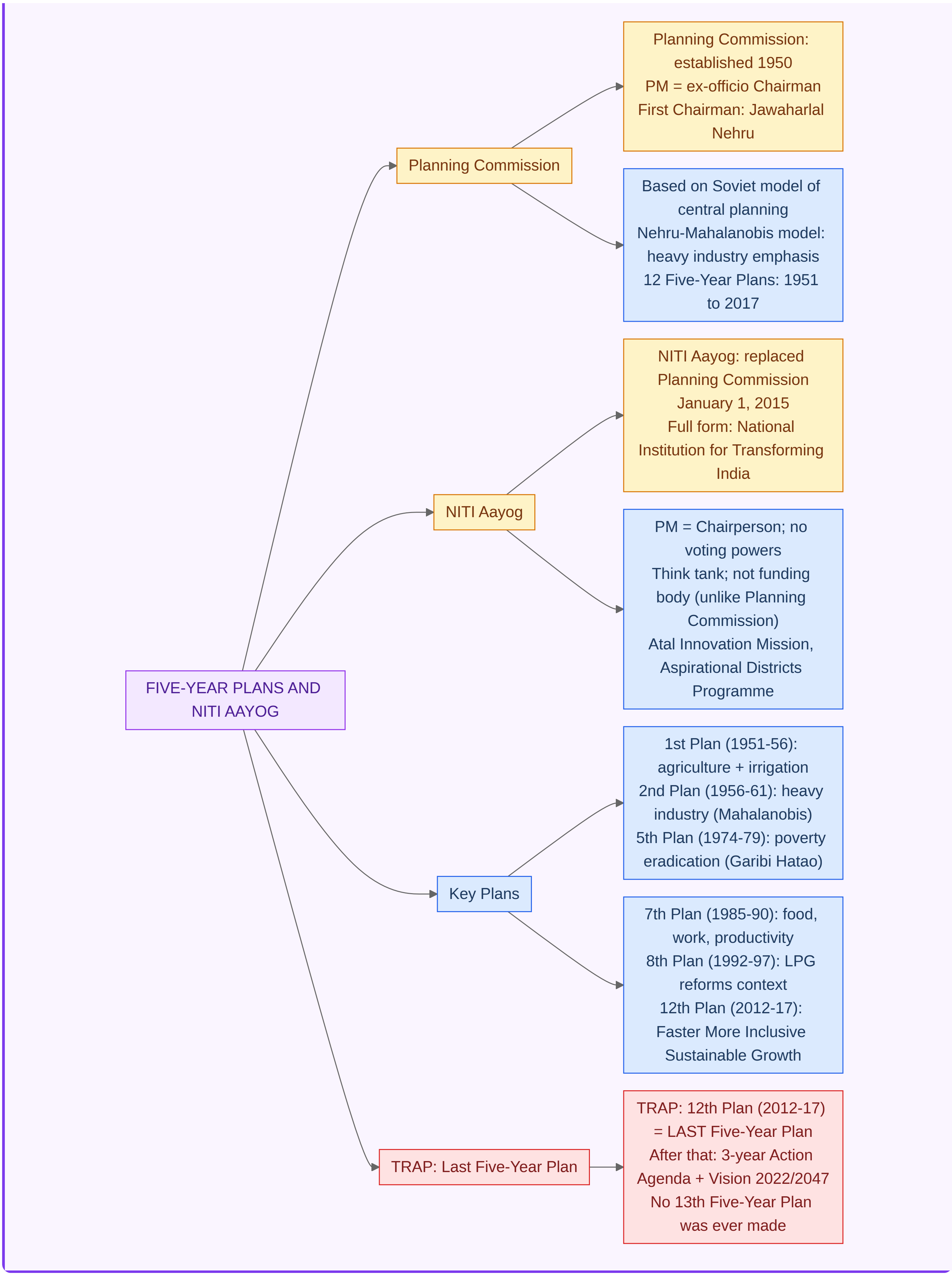
- **Chairperson**: Prime Minister (ex-officio).

- **Vice-Chairperson**: Suman K. Bery (2022–).
- **CEO**: Nidhi Chhibber (Additional Charge, since February 2026).
- **Governing Council**: All Chief Ministers + Lt. Governors of UTs + Prime Minister.

Key outputs: 3-Year Action Agenda; 7-Year Strategy; 15-Year Vision; **SDG India Index** (annual since 2018); Aspirational Districts Programme (112 districts); National MPI.

NITI Aayog is **not** a constitutional or statutory body — it is formed by Cabinet resolution, just like the old Planning Commission.

◎ CHAPTER SUMMARY — EVERYTHING IN ONE VIEW


FIVE-YEAR PLANS AND NITI AAYOG
Planning Commission
Planning Commission: established 1950
PM = ex-officio Chairman
First Chairman: Jawaharlal Nehru
Based on Soviet model of central planning
Nehru-Mahalanobis model: heavy industry emphasis
12 Five-Year Plans: 1951 to 2017
NITI Aayog
NITI Aayog: replaced Planning Commission January 1, 2015
Full form: National Institution for Transforming India
PM = Chairperson; no voting powers
Think tank; not funding body (unlike Planning Commission)
Atal Innovation Mission, Aspirational Districts Programme
Key Plans
1st Plan (1951-56): agriculture + irrigation
2nd Plan (1956-61): heavy industry (Mahalanobis)
5th Plan (1974-79): poverty eradication (Garibi Hatao)
7th Plan (1985-90): food, work, productivity
8th Plan (1992-97): LPG reforms context
12th Plan (2012-17): Faster More Inclusive Sustainable Growth
TRAP: Last Five-Year Plan
TRAP: 12th Plan (2012-17) = LAST Five-Year Plan
After that: 3-year Action Agenda + Vision 2022/2047
No 13th Five-Year Plan was ever made

Chapter 10 — Poverty, Unemployment, and Human Development

Poverty Measurement

Committee	Year	Approach
Working Group	1962	Calorie norm: 2,400 kcal (rural), 2,100 (urban)
Lakdawala	1989	State-specific poverty lines
Suresh Tendulkar	2009	MPCE (monthly per-capita consumption expenditure); still the official poverty line
C. Rangarajan	2014	Revised upward — not officially adopted
NITI Aayog MPI	2021+	12 indicators across health, education, living standards

India's Multidimensional Poverty: 14.96% (2019–21 → declined significantly); about 5% by 2022–23 (estimated).

Key Economic Indices

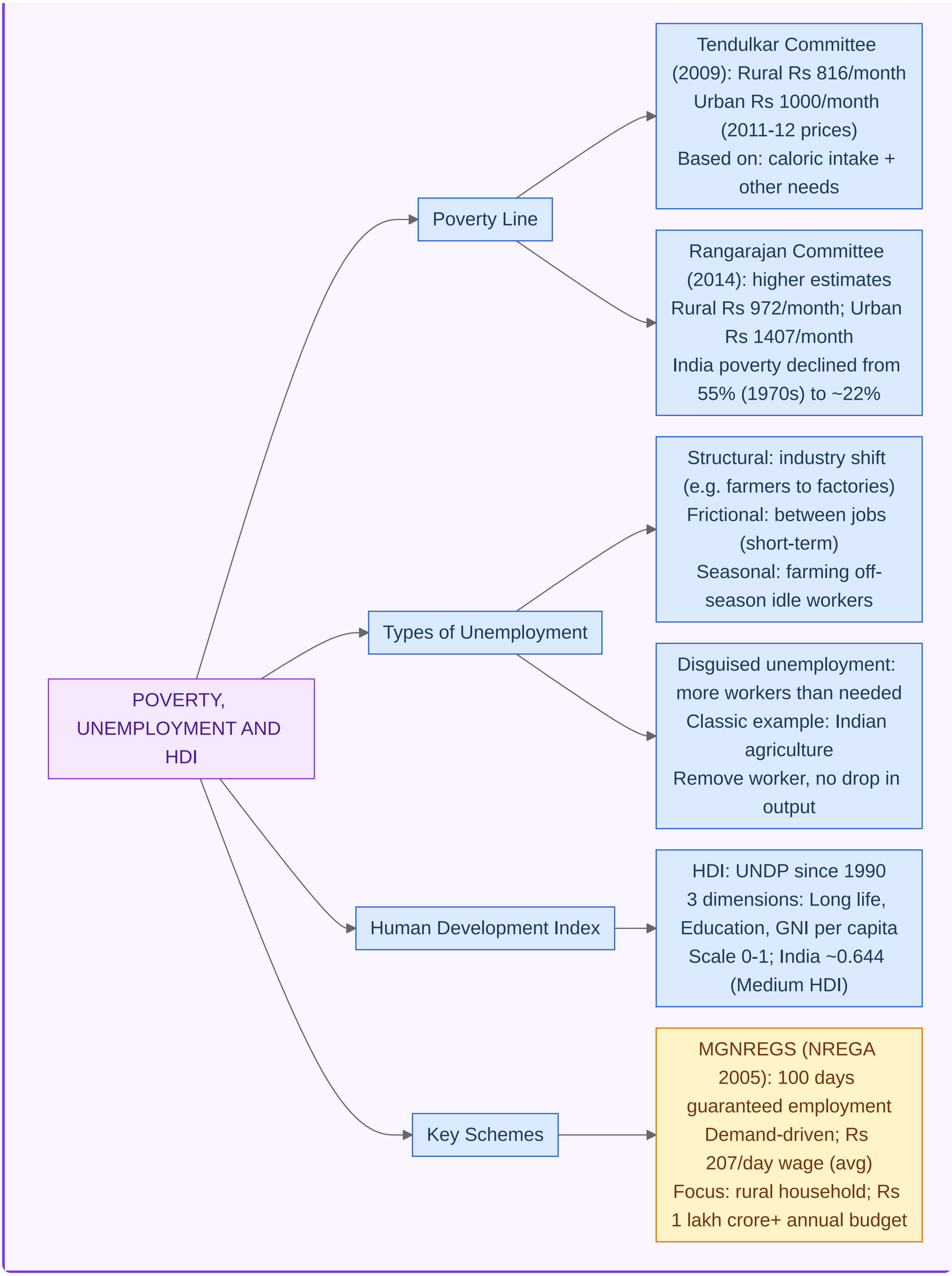
Index	Published by	India's rank (latest)
HDI (Human Development Index)	UNDP	130/193 (2025 report); value 0.685
Global Hunger Index	Welthungerhilfe	102/123 (GHI 2025) — "Serious"
Global Gender Gap	WEF	129/146 (2024)
Corruption Perception Index	Transparency International	96/180 (2024)
Global Innovation Index	WIPO	38/139 (GII 2025) — 15th consecutive year as overperformer
Ease of Doing Business	World Bank (discontinued 2021)	India rose from 142nd (2014) to 63rd (2020)

KEY FACT

HDI was conceived by **Mahbub ul Haq** and **Amartya Sen** (1990). It has three dimensions: (1) Health — life expectancy, (2) Education — mean and expected years of schooling, (3) Income — GNI per capita in PPP. A score of 0.700+ is "High Human Development." India at 0.685 is approaching this threshold.

PART F — EXTERNAL SECTOR

◎ CHAPTER SUMMARY — EVERYTHING IN ONE VIEW


POVERTY, UNEMPLOYMENT AND HDI
Poverty Line
Tendulkar Committee (2009): Rural Rs 816/month Urban Rs 1000/month (2011-12 prices)
Based on: caloric intake + other needs
Rangarajan Committee (2014): higher estimates Rural Rs 972/month; Urban Rs 1407/month
India poverty declined from 55% (1970s) to ~22%
Types of Unemployment
Structural: industry shift (e.g. farmers to factories)
Frictional: between jobs (short-term)
Seasonal: farming off-season idle workers
Disguised unemployment: more workers than needed
Classic example: Indian agriculture
Remove worker, no drop in output
Human Development Index
HDI: UNDP since 1990
3 dimensions: Long life, Education, GNI per capita
Scale 0-1; India ~0.644 (Medium HDI)
Key Schemes
MGNREGS (NREGA 2005): 100 days guaranteed employment
Demand-driven; Rs 207/day wage (avg)
Focus: rural household; Rs 1 lakh crore+ annual budget

Chapter 11 — Balance of Payments and Forex

Balance of Payments Structure

- **Current Account** — trade in goods (merchandise), trade in services (IT, tourism), income (remittances, dividends), current transfers.
- **Capital Account** — FDI, FPI/FII, External Commercial Borrowings (ECBs), banking capital.
- **Reserves** — changes in foreign exchange reserves.

India typically has a **Current Account Deficit (CAD)** of ~1–2% of GDP (imports > exports of goods). This is offset by a capital account surplus (FDI + FII inflows).

Forex Reserves

India's foreign exchange reserves = approximately **$680–700 billion** (4th or 5th largest globally; rankings shift — re-check before your exam). After China, Japan, Switzerland — India competes with Russia for the 4th-5th spot. Covers ~9–10 months of imports.

Components: Foreign Currency Assets (~$610B), Gold($ 60B, about 820 tonnes), SDRs (~ $18B), ReserveTrancheinIMF($ 5B).

The 1991 Balance of Payments Crisis

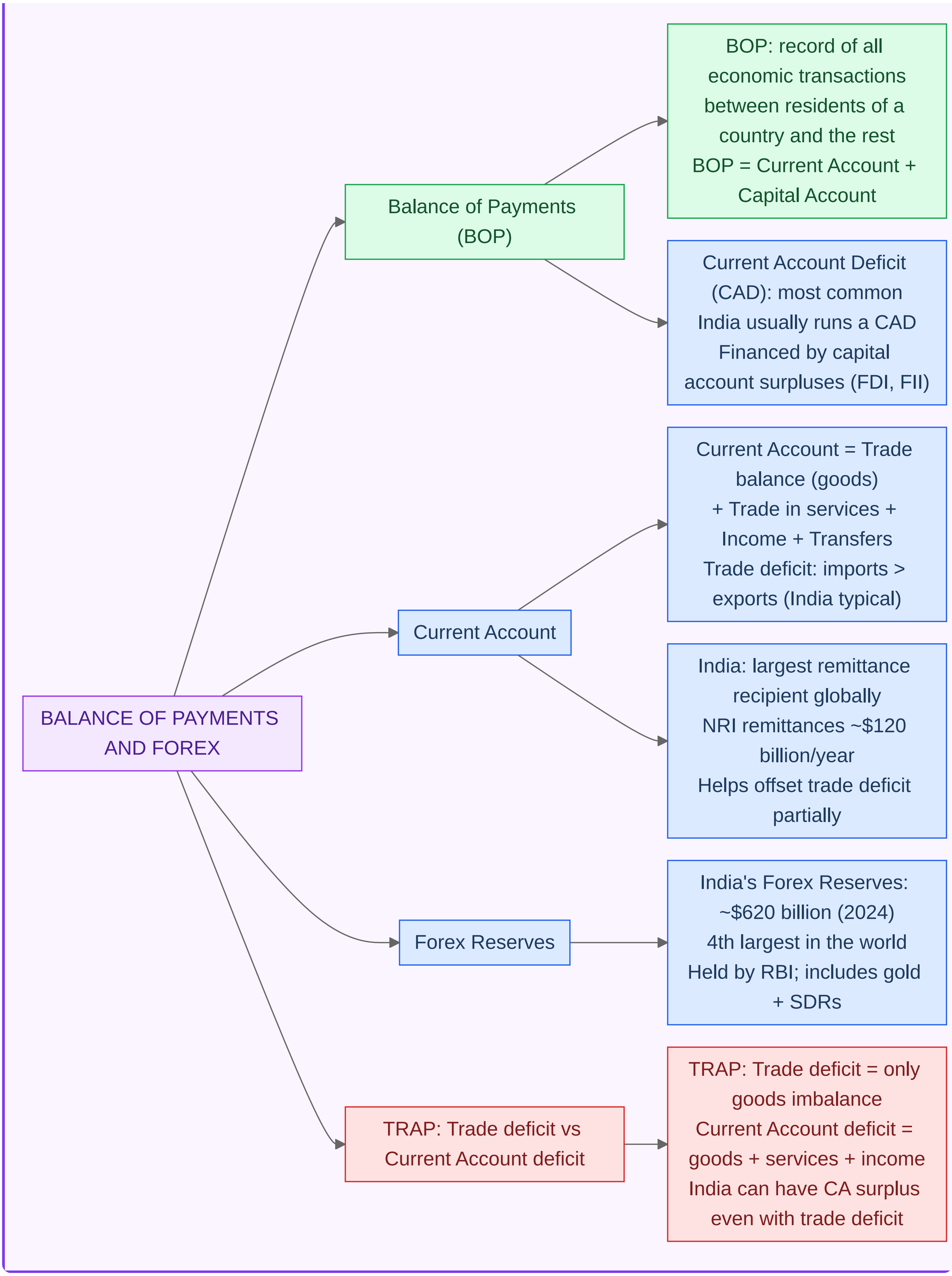
> **KEY FACT**
>
> **1991 crisis — 4 key numbers to remember:** - Forex reserves fell to **~$1.2 billion** (barely 2 weeks of import cover). - **67 tonnes of gold** secretly pledged to Bank of England + UBS. - Budget speech: **24 July 1991** (Manmohan Singh). - **LPG reforms** = Liberalisation + Privatisation + Globalisation. PM = **Narasimha Rao**; FM = **Manmohan Singh** (the technocrat, not elected PM at the time).

By mid-1991, India's forex reserves had fallen to just **~$1.2 billion** — barely 2 weeks of import cover. The government secretly **pledged 67 tonnes of gold** to the Bank of England and the Union Bank of Switzerland (May–July 1991) to raise ~$400 million emergency funds.

PM Narasimha Rao took over in June 1991. Finance Minister **Manmohan Singh** (a technocrat) delivered the landmark **24 July 1991 Budget speech** launching the LPG (Liberalisation, Privatisation, Globalisation) reforms: devaluation of the rupee, industrial delicensing, trade liberalisation, disinvestment.

> **KEY FACT**
>
> 1991 is the most important year in India's post-independence economic history. The crisis forced reforms that transformed India from a closed, licence-raj economy to one that is more market-oriented and globally integrated. Manmohan Singh's line: "No power on Earth can stop an idea whose time has come."

◎ CHAPTER SUMMARY — EVERYTHING IN ONE VIEW

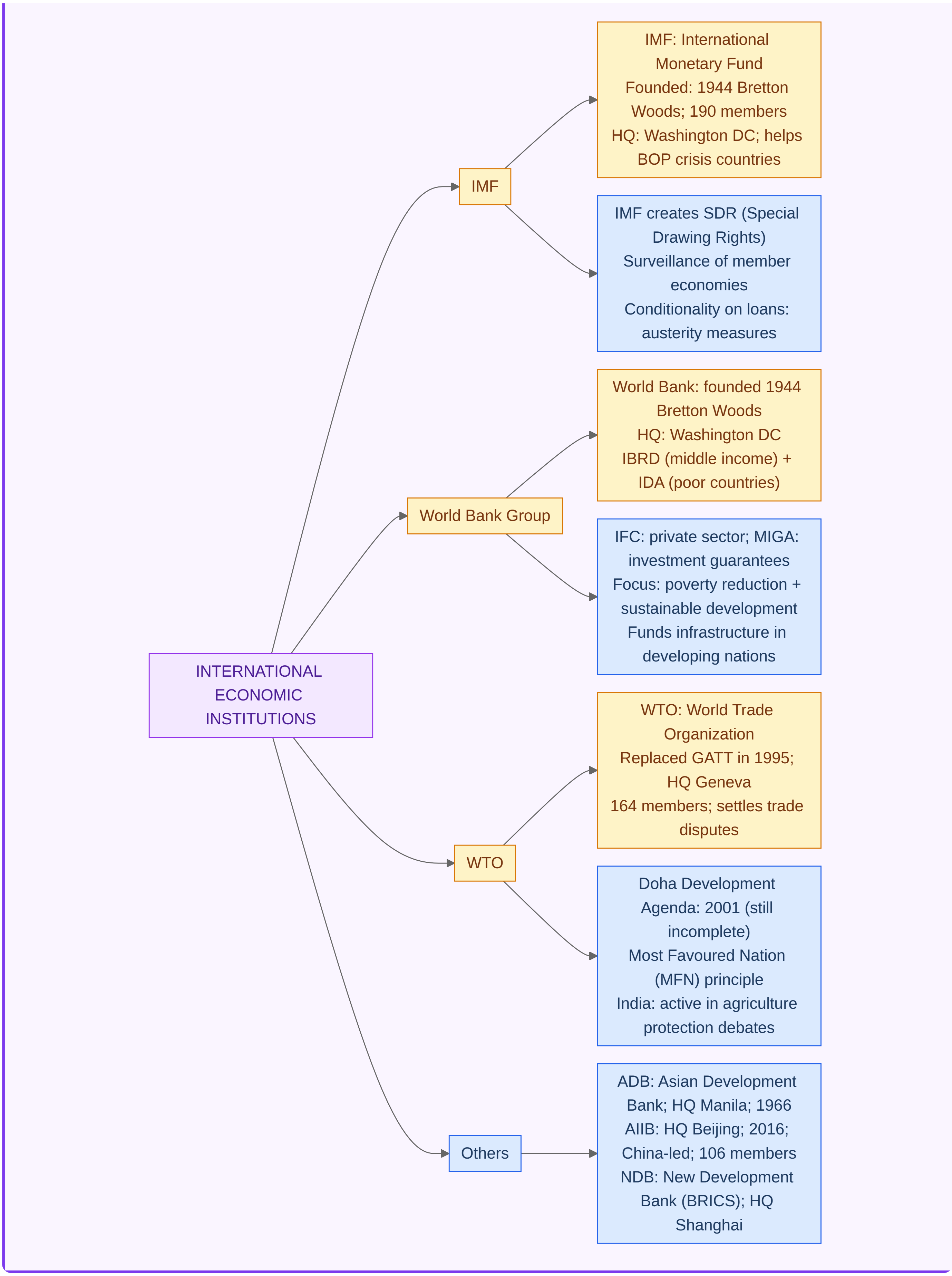

BALANCE OF PAYMENTS AND FOREX
Balance of Payments (BOP)
BOP: record of all economic transactions between residents of a country and the rest
BOP = Current Account + Capital Account
Current Account Deficit (CAD): most common
India usually runs a CAD
Financed by capital account surpluses (FDI, FII)
Current Account
Current Account = Trade balance (goods)
+ Trade in services + Income + Transfers
Trade deficit: imports > exports (India typical)
India: largest remittance recipient globally
NRI remittances ~$120 billion/year
Helps offset trade deficit partially
Forex Reserves
India's Forex Reserves: ~$620 billion (2024)
4th largest in the world
Held by RBI; includes gold + SDRs
TRAP: Trade deficit vs Current Account deficit
TRAP: Trade deficit = only goods imbalance
Current Account deficit = goods + services + income
India can have CA surplus even with trade deficit

Chapter 12 — International Economic Institutions

Institution	Founded	HQ	Key Role
IMF (International Monetary Fund)	1944 (Bretton Woods)	Washington D.C.	Balance of payments support; MD: Kristalina Georgieva
World Bank (IBRD)	1944 (Bretton Woods)	Washington D.C.	Development loans; President: Ajay Banga (Indian-American, 2023–)
WTO (World Trade Organization)	1 January 1995	Geneva	Trade rules; replaced GATT (1947); DG: Ngozi Okonjo-Iweala; 164 members
UNCTAD	1964	Geneva	Trade and development for developing countries
ADB (Asian Dev. Bank)	1966	Manila	Development finance in Asia
NDB (New Dev. Bank)	2015	Shanghai	BRICS bank; India is founding member

PART G — AGRICULTURE AND KEY SCHEMES

◎ CHAPTER SUMMARY — EVERYTHING IN ONE VIEW


INTERNATIONAL ECONOMIC INSTITUTIONS
IMF
IMF: International Monetary Fund
Founded: 1944 Bretton Woods; 190 members
HQ: Washington DC; helps BOP crisis countries
IMF creates SDR (Special Drawing Rights)
Surveillance of member economies
Conditionality on loans: austerity measures
World Bank Group
World Bank: founded 1944 Bretton Woods
HQ: Washington DC
IBRD (middle income) + IDA (poor countries)
IFC: private sector; MIGA: investment guarantees
Focus: poverty reduction + sustainable development
Funds infrastructure in developing nations
WTO
WTO: World Trade Organization
Replaced GATT in 1995; HQ Geneva
164 members; settles trade disputes
Doha Development Agenda: 2001 (still incomplete)
Most Favoured Nation (MFN) principle
India: active in agriculture protection debates
Others
ADB: Asian Development Bank; HQ Manila; 1966
AIIB: HQ Beijing; 2016; China-led; 106 members
NDB: New Development Bank (BRICS); HQ Shanghai

Chapter 13 — Agriculture

Important Agricultural Revolutions

KEY FACT

Mnemonic — Agricultural Revolutions by colour: "Green White Blue Yellow Silver Pink" - **Green** = Crops (wheat/rice) — Swaminathan + Borlaug - **White** = Milk — Verghese Kurien (Amul) - **Blue** = Fish — Hiralal Chaudhuri - **Yellow** = Oilseeds - **Silver** = Eggs/Poultry - **Pink** = Meat/Prawn

Quick hook: "**G**ood **W**ine **B**rings **Y**outh **S**ome **P**leasure" = Green, White, Blue, Yellow, Silver, Pink.

Revolution	Sector	Key Person
Green Revolution	Wheat + rice (High Yielding Varieties)	M.S. Swaminathan (India); Norman Borlaug (world)
White Revolution (Operation Flood)	Milk and dairy	Verghese Kurien (Amul, Anand)
Blue Revolution	Fish and aquaculture	Hiralal Chaudhuri
Yellow Revolution	Oilseeds	Sam Pitroda era
Silver Revolution	Eggs and poultry	Indira Gandhi era
Evergreen Revolution	Sustainable agriculture	M.S. Swaminathan

EXAM ALERT

⚠️ **TRAP — "Father of Green Revolution" has TWO answers depending on scope.** - **Global** = **Norman Borlaug** (Nobel Peace Prize 1970 — developed HYV wheat). - **India** = **M.S. Swaminathan** (introduced HYV seeds in Indian context, 1960s). If the question says "in India" → Swaminathan. If it says "world / internationally" → Borlaug. Do NOT write Borlaug for an India-specific question.

COMMON TRAP

Examiners often ask "Father of Green Revolution in India" — the answer is **M.S. Swaminathan**. The "Father of Green Revolution" globally is **Norman Borlaug** (Nobel Peace Prize 1970). These are different people. Never confuse them.

MSP and Procurement

- **MSP (Minimum Support Price)** — government-announced price to protect farmers from price crashes. Covers **23 crops**: 7 cereals (paddy, wheat, jowar, bajra, ragi, maize, barley), 5 pulses (tur, moong, urad, chana, masur), 7 oilseeds, 4 commercial crops (cotton, sugarcane, copra, jute).
- **CACP (Commission for Agricultural Costs and Prices)** — recommends MSP since 1965.
- **FCI (Food Corporation of India, 1965)** — procures grains at MSP and manages the Public Distribution System (PDS).
- **NFSA 2013 (National Food Security Act)** — gives legal entitlement to subsidised food grain: 5 kg/person/month for 75% rural + 50% urban population.

Crop Seasons

KEY FACT

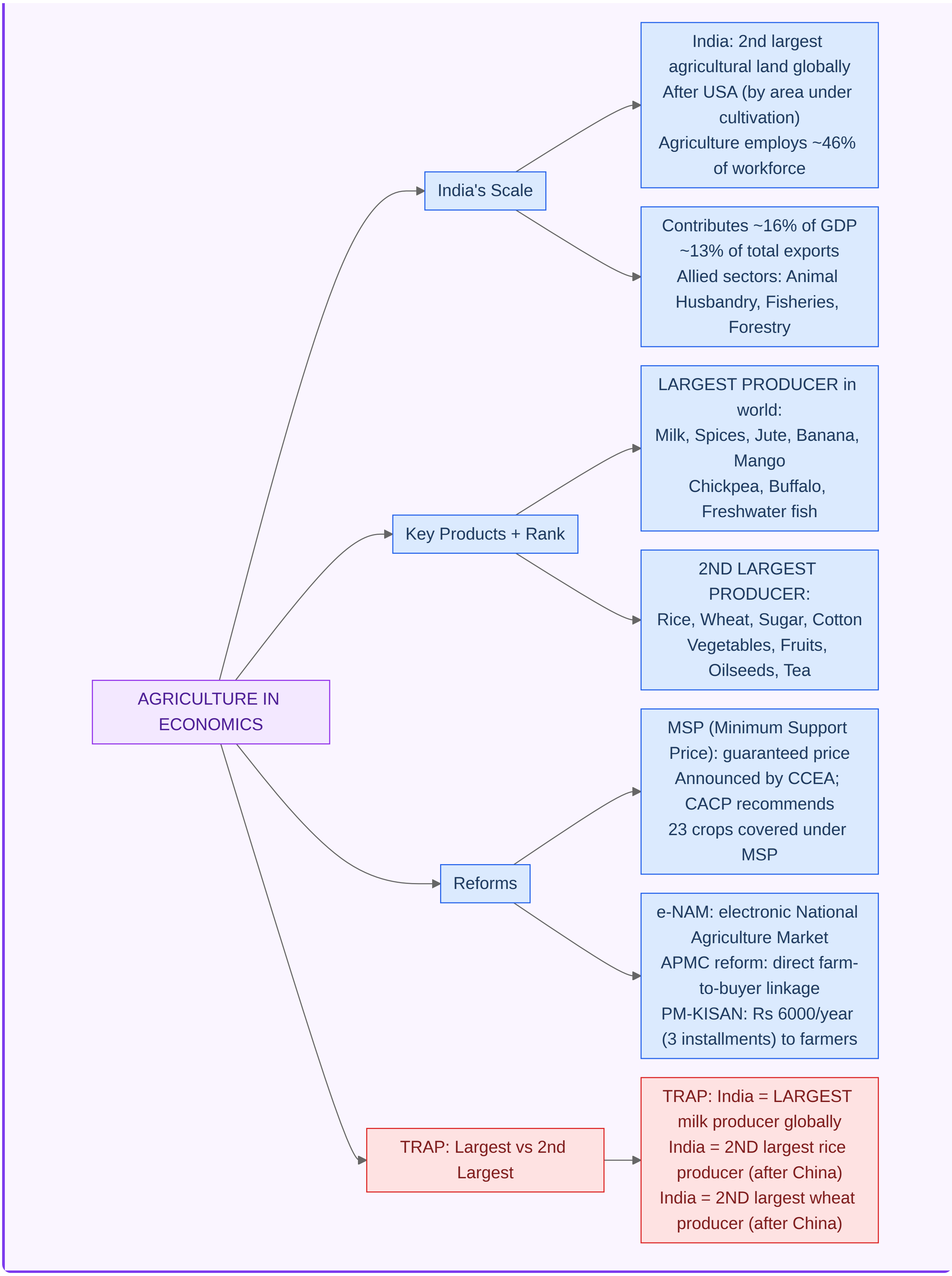
Crop season shortcut: Kharif = sown with the rain (June), harvested Oct. Key crops: **Rice, Cotton, Jowar, Bajra, Groundnut, Jute. Rabi** = sown in winter (Oct/Nov), harvested before summer (Mar). Key crops: **Wheat, Barley, Gram, Mustard, Peas.** Memory: **K**harif → **K**erala (monsoon state) connection; **R**abi → **R**abbi (studied in winter, like wheat grown in cool winter).

- **Kharif** (June–October): rice, maize, jowar, bajra, cotton, soybean, groundnut.
- **Rabi** (October–March): wheat, barley, gram (chickpea), mustard.
- **Zaid** (March–June): watermelon, cucumber, summer vegetables.

EXAM ALERT

⚠️ **TRAP — MSP covers 23 crops, NOT all crops.** MSP is not legally enforceable for all farmers (only FCI procurement guarantees it for wheat and rice). The 23 crops include 7 cereals, 5 pulses, 7 oilseeds, and 4 commercial crops (cotton, sugarcane, copra, jute). Examiners sometimes put "all crops" or "15 crops" as wrong options.

◎ CHAPTER SUMMARY — EVERYTHING IN ONE VIEW


AGRICULTURE IN ECONOMICS
India's Scale
India: 2nd largest agricultural land globally After USA (by area under cultivation) Agriculture employs ~46% of workforce
Contributes ~16% of GDP ~13% of total exports Allied sectors: Animal Husbandry, Fisheries, Forestry
Key Products + Rank
LARGEST PRODUCER in world: Milk, Spices, Jute, Banana, Mango Chickpea, Buffalo, Freshwater fish
2ND LARGEST PRODUCER: Rice, Wheat, Sugar, Cotton Vegetables, Fruits, Oilseeds, Tea
Reforms
MSP (Minimum Support Price): guaranteed price Announced by CCEA; CACP recommends 23 crops covered under MSP
e-NAM: electronic National Agriculture Market APMC reform: direct farm-to-buyer linkage PM-KISAN: Rs 6000/year (3 installments) to farmers
TRAP: Largest vs 2nd Largest
TRAP: India = LARGEST milk producer globally India = 2ND largest rice producer (after China) India = 2ND largest wheat producer (after China)

Chapter 14 — Key Government Schemes

KEY FACT

5 most-tested schemes — launch years: - **PMJDY** (Jan Dhan) = **2014** — zero-balance bank accounts, RuPay card. - **MGNREGA** = **2005** — 100 days guaranteed rural employment. - **PM-KISAN** = **2019** — ₹6,000/year to farmers (3 instalments). - **Ayushman Bharat (PM-JAY)** = **2018** — ₹5 lakh health insurance. - **PM Ujjwala** = **2016** — free LPG to BPL women. Mnemonic: "**Jan Mana's Kitchen Ayushman's Purpose**" → Jan Dhan, MGNREGA, KISAN, Ayushman, PM Ujjwala.

Standard Schemes Reference Table (exam-critical)

Scheme	Year	Ministry	Purpose
PM-KISAN	2019	Agriculture	₹6,000/year direct income to farmers (3 instalments of ₹2,000)
Ayushman Bharat (PM-JAY)	2018	Health	₹5 lakh/year health insurance to 10 crore poor families; extended Oct 2024 to all 70+ citizens
PMJDY (Jan Dhan)	2014	Finance	Zero-balance bank accounts; financial inclusion; RuPay card; ₹2L accident cover
MUDRA Yojana (PMMY)	2015	Finance	Micro loans up to ₹10 lakh (Shishu ≤₹50K / Kishor / Tarun / Tarun Plus ₹10–20L)
Swachh Bharat Mission	2014	Jal Shakti	ODF (Open Defecation Free) India; toilets + sanitation in rural + urban
Smart Cities Mission	2015	Urban Dev	100 cities selected for urban transformation (ICT + infrastructure)
PM Awas Yojana (Urban+Rural)	2015/2016	Housing	Affordable housing for all; PMAY-U + PMAY-G; extended beyond original 2022 deadline
MGNREGS	2005	Rural Dev	100 days guaranteed wage employment per rural household per year
National Pension System (NPS)	2004	Finance	Pension for all citizens; PFRDA regulates; market-linked returns
PM Fasal Bima Yojana (PMFBY)	2016	Agriculture	Crop insurance; replaces NAIS; uniform premium 2% (kharif), 1.5% (rabi)

KEY FACT

Scheme	Year	What It Does
PMJDY (Jan Dhan Yojana)	2014	Zero-balance bank accounts; RuPay debit card; ₹2L accident cover
MGNREGA	2005	100 days of guaranteed wage employment per household in rural areas
PM-KISAN	2019	₹6,000/year to farmers in 3 equal instalments
PMFBY	2016	Crop insurance scheme
MUDRA (PMMY)	2015	Micro-loans to enterprises: Shishu (≤₹50K), Kishor, Tarun (≤₹10L), Tarun Plus (₹10–20L)
Stand-Up India	2016	₹10L–₹1 crore loans to SC/ST and women entrepreneurs
PMAY (G+U)	2015–16	Housing for All — rural and urban
Ayushman Bharat (PM-JAY)	2018	₹5L health insurance; extended Oct 2024 to all 70+ citizens regardless of income
PM POSHAN	2021	Mid-day meals for school children (renamed from MDM scheme of 1995)
PM Ujjwala Yojana	2016	Free LPG connections to BPL women

Scheme	Year	What It Does
Jal Jeevan Mission	2019	Piped water connection to every rural household
Skill India (PMKVY)	2015	Skill development and certification
PM SVANidhi	2020	Street vendor loans: ₹10K → ₹50K
PM Vishwakarma	2023	₹3L credit + tools + training for 18 traditional artisan trades
Sukanya Samriddhi Yojana	2015	Girl-child savings scheme; 21-year maturity
PMSBY	2015	Accident insurance ₹2L for ₹20/year
PMJJBY	2015	Life insurance ₹2L for ₹436/year
APY (Atal Pension Yojana)	2015	Guaranteed pension ₹1,000–₹5,000/month for unorganised sector
eNAM	2016	Online National Agriculture Market for trading farm produce

PART X — BANKING AWARENESS (For IBPS/SBI Candidates)

Banking Awareness is tested in **IBPS PO / Clerk, SBI PO / Clerk, RRB PO / Office Assistant** and carries 30–50 marks in Mains. This part covers the RBI, commercial banks, payment systems, financial regulators, and key schemes — the complete set needed to clear any Banking Awareness section.

KEY FACT

Five must-know clusters for Banking Awareness: 1. **RBI** — functions, monetary policy tools, repo rate, SLR, CRR, OMO 2. **Banking structure** — PSBs, SFBs, Payment Banks, Co-operative banks 3. **Payment systems** — NEFT, RTGS, IMPS, UPI, NACH, BBPS 4. **Financial regulators** — SEBI, IRDAI, PFRDA, NaBFID, FSDC 5. **Government schemes** — PM-JDY, PM-KISAN, PM Mudra, Atal Pension Yojana

Monetary Aggregates

KEY FACT

M-series quick recall — "M0 is the base, M3 is what RBI cites": M0 (Reserve/High-powered money) → M1 (Narrow money = currency + demand deposits) → M2 (M1 + PO savings) → **M3 (Broad money = M1 + time deposits — this is what news articles mean by "money supply")** → M4 (M3 + all PO deposits). **Exam favourite = M3** — RBI's broad money measure, reported in monetary policy statements.

- **M0** (Reserve Money) = Currency in circulation + Bankers' deposits with RBI + Other deposits.
- **M1** (Narrow Money) = Currency with public + Demand deposits + Other deposits with RBI.
- **M2** = M1 + Post Office savings deposits.
- **M3** (Broad Money — **most cited**) = M1 + Time deposits with banks.
- **M4** = M3 + All Post Office deposits (excluding NSC).

Banking Institutions Taxonomy

Public Sector Banks (12 after 2020 mergers): SBI, PNB, Bank of Baroda, Canara, Union, Indian Bank, Bank of India, Central Bank, IOB, UCO, Punjab & Sind, Bank of Maharashtra.

Small Finance Banks: Equitas, AU, Ujjivan, Jana, ESAF, Suryoday, Capital, North East, Shivalik, Unity, Utkarsh.

Payment Banks (6): Airtel, Jio, India Post Payments, Fino, NSDL.

Development Finance Institutions: NABARD (1982), SIDBI (1990), NHB (1988), EXIM Bank (1982), NaBFID (2021).

Banking Acronyms (Must Know)

Acronym	Full Form
NPA	Non-Performing Asset (interest/principal overdue 90+ days)
CASA	Current + Savings Account ratio (low-cost deposit ratio)
CAR/CRAR	Capital Adequacy Ratio; Tier I + Tier II / Risk-Weighted Assets; minimum 9% (RBI); Basel III: 11.5%
SARFAESI	Securitisation and Reconstruction of Financial Assets and Enforcement of Securities Interest Act, 2002
IBC	Insolvency and Bankruptcy Code, 2016; IBBI is the regulator; NCLT is the adjudicator
PCA	Prompt Corrective Action — framework for weak banks
MCLR	Marginal Cost of Funds-based Lending Rate (since April 2016)

Acronym	Full Form
EBLR	External Benchmark Lending Rate (since October 2019, often Repo-linked)
PSL	Priority Sector Lending — 40% of ANBC for scheduled commercial banks
FSDC	Financial Stability and Development Council
KYC	Know Your Customer (e-KYC via Aadhaar; CKYC = Central KYC)

Maharatna CPSEs (14 as of April 2026)

BHEL, BPCL, Coal India, GAIL, **HAL** (14th, added October 2024), HPCL, IOCL, NTPC, ONGC, Power Grid, SAIL, PFC, REC, Oil India.

Key Banking Committees

Committee	Year	Subject
Hilton Young	1926	Recommended establishing RBI
Narsimham I	1991	Banking sector reforms post-LPG
Narsimham II	1998	Structural strengthening of banks
Tandon	1974	Working capital lending norms
Nachiket Mor	2014	Financial inclusion (recommended Payment + Small Finance Banks)
Bimal Jalan	2019	RBI's economic capital framework
K.V. Kamath	2020	One-time restructuring framework (COVID relief)
P.J. Nayak	2014	Governance of bank boards

PART AA — ALL FIVE-YEAR PLANS (Summary Table)

Plan	Period	Model/Theme	Target	Achieved	Key Fact
1st	1951–56	Harrod-Domar; Agriculture	2.1%	3.6%	Bhakra-Nangal, Hirakud dams
2nd	**1956–61**	**Mahalanobis; Heavy Industry**	4.5%	4.3%	Steel plants at Bhilai, Rourkela, Durgapur
3rd	1961–66	Self-reliance	5.6%	2.8%	Failed — two wars + drought
Plan Holiday	1966–69	3 Annual Plans	—	—	Green Revolution started (1966)
4th	1969–74	Garibi Hatao	5.7%	3.3%	Bank nationalisation 1969; 1971 war
5th	1974–79	Poverty alleviation	4.4%	4.8%	Terminated by Janata govt in 1978
Rolling Plan	1978–80	—	—	—	Janata govt
6th	1980–85	Modernisation	5.2%	5.7%	—
7th	1985–90	Productivity + tech	5.0%	6.0%	Telecom, computers (Rajiv Gandhi)
Annual Plans	1990–92	—	—	—	1991 BoP crisis + LPG reforms
8th	1992–97	Human resource development	5.6%	6.8%	Best growth until then; LPG phase
9th	1997–2002	Growth with social justice	6.5%	5.4%	—
10th	2002–07	Double per-capita income	8.0%	7.6%	First plan with monitorable targets
11th	2007–12	Inclusive growth	9.0%	8.0%	Highest average growth
12th	**2012–17**	**Faster, sustainable, inclusive**	8.0%	6.7%	**Last Five-Year Plan**

PART AB — POVERTY, EMPLOYMENT, INDICES (Detailed)

Poverty Lines — Evolution

Year	Committee/Method	Poverty Line
1962	Working Group	Calorie norms
1979	Y.K. Alagh	Calorie + expenditure
1989	Lakdawala	State-specific
2009	**Suresh Tendulkar**	**MPCE — still the official poverty line**
2014	C. Rangarajan	Higher revised line — not officially adopted

Employment Measurement

- **PLFS (Periodic Labour Force Survey)** — by NSO since 2017–18; annual + quarterly (urban). Replaced the old NSSO quinquennial surveys.
- **LFPR** (Labour Force Participation Rate) — about 58% (2023); women's LFPR is about 37% — a major concern.
- **UR** (Unemployment Rate) — about 3.2% overall; youth (15–29 years) unemployment ~10%.
- **MGNREGA (2005)** — guarantees 100 days of unskilled wage work per rural household per year.

PART AC — KEY ECONOMIC TERMS

- **Sensex** — Bombay Stock Exchange's benchmark index of 30 stocks; BSE founded 1875 (Asia's oldest stock exchange).
- **Nifty 50** — NSE's benchmark index of 50 stocks; NSE founded 1992.
- **SEBI** — Securities and Exchange Board of India; established 1988, made statutory 1992.
- **T+1 settlement** — India moved to T+1 (trade plus 1 day) equity settlement in 2023; the first country globally to do so for full equities.
- **NSDL + CDSL** — National Securities Depository Limited + Central Depository Services Limited — hold demat accounts.
- **CAD** — Current Account Deficit (imports of goods > exports of goods + services surplus).
- **Rupee** — managed float since 1993 (not freely convertible on capital account).
- **Capital account convertibility** — partial; Tarapore Committee (I: 1997, II: 2006) recommended gradual approach.

APPENDIX A — 25-Question Mini-Mock

1. Who proposed the 2nd Five-Year Plan model?
2. What year was NITI Aayog established?
3. NITI Aayog stands for what?
4. Which Finance Commission gave states 42%?
5. Who chaired the 16th Finance Commission?
6. Under which article is the Finance Commission set up?
7. When was RBI founded?
8. When was RBI nationalised?
9. First Indian Governor of RBI?
10. Who recommends MSP for crops?
11. How many crops are covered under MSP?
12. What year was GST launched?
13. Which constitutional amendment enabled GST?
14. Name three items outside GST.
15. How many banks were nationalised in 1969?
16. How many banks were nationalised in 1980?
17. How many public sector banks exist today (after mergers)?
18. What year was UPI launched?
19. What organisation runs UPI?
20. What is India's HDI rank (latest)?
21. Who founded the concept of HDI?
22. What year was MGNREGA enacted?
23. What is India's nominal GDP rank globally?
24. India's forex reserves rank is how much globally?
25. What year were the LPG reforms initiated and who was the Finance Minister?

Answers: 1. P.C. Mahalanobis (heavy industry model) 2. 1 January 2015 3. National Institution for Transforming India 4. 14th Finance Commission (Chair: Y.V. Reddy) 5. Arvind Panagariya 6. Article 280 7. 1 April 1935 8. 1 January 1949 9. C.D. Deshmukh (1943–49) 10. CACP (Commission for Agricultural Costs and Prices) 11. 23 crops 12. 1 July 2017 13. 101st Constitutional Amendment, 2016 14. Petroleum, alcohol, electricity duty (also stamp duty) 15. 14 banks 16. 6 banks 17. 12 public sector banks 18. 11 April 2016 19. NPCI (National Payments Corporation of India) 20. 130/193 (UNDP 2025 report) 21. Mahbub ul Haq and Amartya Sen (1990) 22. 2005 23. 6th largest (nominal GDP, $\sim 4.15trillionasofApril2026)24.4thor5thlargestglobally($ 680–700 billion range; re-check before exam) 25. 1991; FM Manmohan Singh (PM Narasimha Rao)

APPENDIX B — Trap Recognition Card

Trap	Common mistake	Correct answer
Planning Commission abolished	2015	2014 (replaced by NITI Aayog from 1 Jan 2015; PC worked through 2014)
RBI founded vs. nationalised	Same year	Founded 1935; nationalised 1949 — 14 years apart
GDP PPP rank vs nominal	Same	PPP = 3rd; Nominal = 6th (as of 2026)
Father of Green Revolution (India)	Norman Borlaug	M.S. Swaminathan (Borlaug = world; Swaminathan = India)
Mahalanobis Plan	3rd Five-Year Plan	2nd Five-Year Plan (1956–61)
Finance Commission — Art	Not sure	Article 280
Last 5-year plan	11th	12th (2012–17)
GST council — voting	Simple majority	3/4 majority
Outside GST	Just petrol	Petrol, diesel, ATF, crude oil, natural gas, alcohol, electricity duty, stamp duty
CPI base year	2012	2024 (new series released February 2026)
WTO founded	1947	1995 (GATT was 1947; WTO is the 1995 successor)
India joined IMF	After 1947	1945 — India is an original member (one of 44 Bretton Woods founding members)
MPC members	3	6 (3 RBI + 3 external)